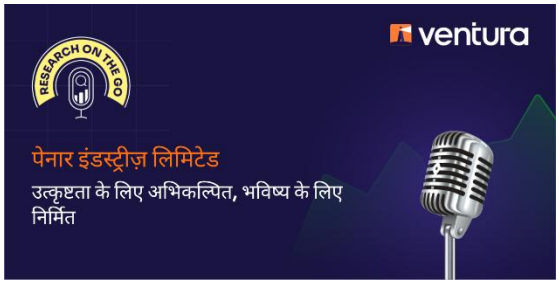
Pennar Industries Ltd

Engineered for Excellence, Built for Tomorrow



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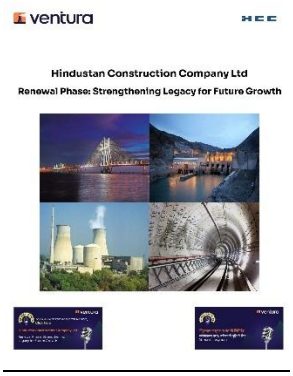

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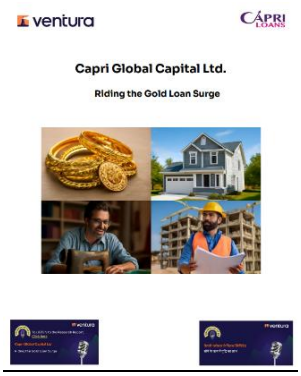

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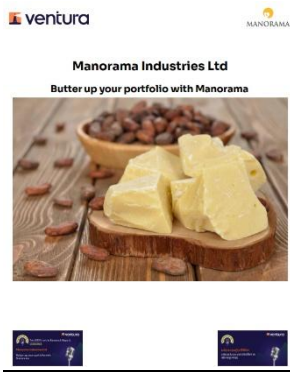

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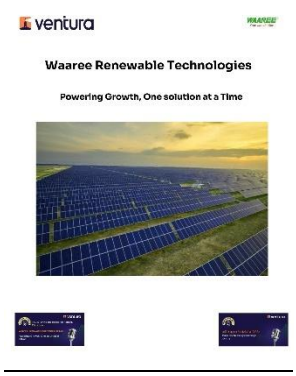

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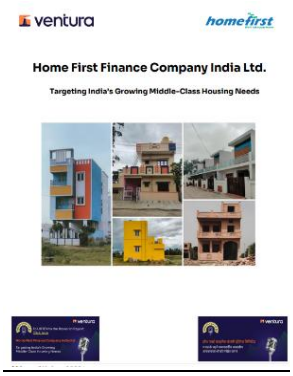


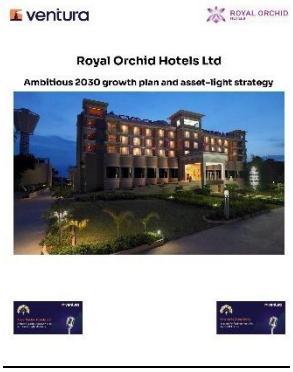
Home First

Anlon Tech

Man Industries

Interarch Building

TARIL



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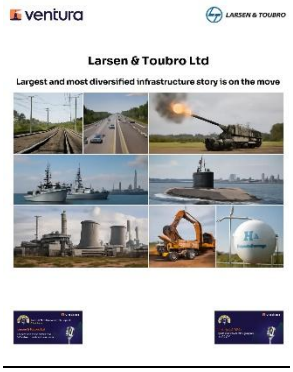
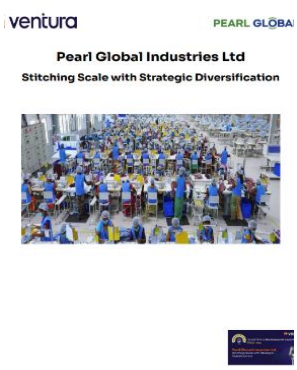


L&T

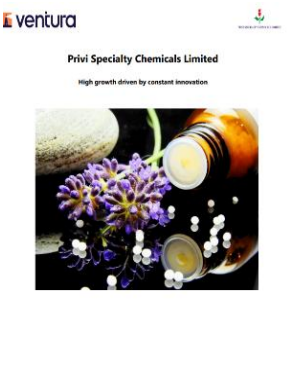
Transport Corp

Prudent CAS

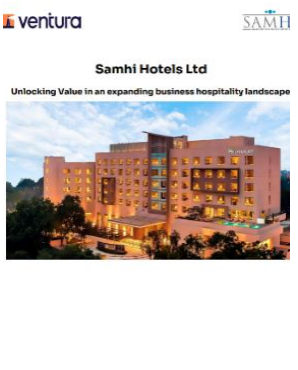


Pearl Global

Netweb Tech



Privi Chemicals



Samhi Hotels

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BUY@CMP INR 275 | **Target: INR 347 in 24 Months** | **Upside Potential: 26%**

Precision in Every Product, Innovation in Every Structure

Business Model: Pennar Industries Ltd (PIL) business model revolves around offering precision engineering products and solutions, focusing on several high-demand sectors, including infrastructure, automotive, energy, and heavy engineering. The company serves over 500 customers, with a product portfolio that spans Pre-Engineered Buildings (PEB), precision tubes, hydraulic systems, process heating equipment, and engineering services domestically as well as internationally.

Pre-Engineered Buildings (PEBs) are built 40–50% faster than traditional methods, offering design flexibility and easy scalability. The PEB market in India is experiencing significant growth, valued at approximately INR 15,000 cr in 2024, and projected to reach INR 47,000 cr by 2033 (CAGR of 12.5%). Pennar Industries is one of the leading players in India's PEB segment, providing end-to-end solutions from design and engineering to fabrication and on-site assembly. A strong order book of INR 780 cr. for PEB India and USD 54 mn for PEB USA in FY2025 showcases Pennar's ability to deliver large-scale industrial, warehousing, and commercial building projects.

Over FY25-28, we anticipate net revenue to grow at a 8% CAGR, to reach INR 4,066 cr. This growth will be driven by expansion in the USA's PEB sector through the acquisition of Ascent company and new capital expenditure in the BIW and Boilers products in FY26 and FY27. As of July 31, 2025, PIL holds a robust order book of INR 750 crore (0.5x FY25 sales). To meet this demand, the company plans to expand capacity by 35,000 MT via acquisitions at the Raebareli plant and a joint venture with Zetwerk for solar module production. The estimated capital outlay is INR 65 crore in FY26 and over INR 100 crore in FY27.

In line with the moderate revenue trend, both EBITDA and Net profit are forecast to grow at slower pace with a CAGR of 10% and 11% to INR 419 cr and INR 162cr by FY28. EBITDA / PAT Margin are expected to improve by 70/30 bps to 10.3% / 4% respectively. However, despite this growth, a considerable share of EBITDA is being absorbed by interest costs and other expenses, which continues to exert pressure on overall margins.

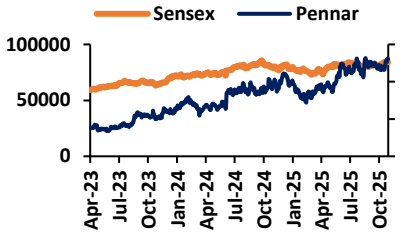
Valuation: We initiate coverage with a BUY for a price target of INR 323 (19.6X FY28E forward P/E) representing an upside of % from the current CMP of INR 244 over the next 24 months.
Key Risk: Talent Retention, Labour Disputes.

Industry	Construction

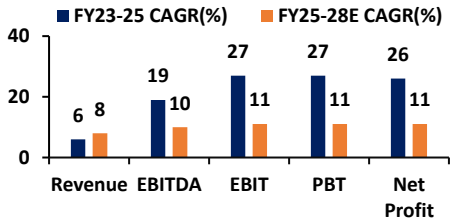
Scrip Details	
Face Value (INR)	5.0
Market Cap (INRCr)	3,251
Price (INR)	275
No of Sh O/S (Cr)	13.5
1M Avg Vol (000)	7,13,547
52W H/L (INR)	280/136
Dividend Yield (%)	0.00

Shareholding (%)	Mar 2025
Promoter	39.67
FII	6.74
DII	1.98
Public	51.61
TOTAL	**100.0**

Price Chart



Financial Growth – Past vs Projection



Key consolidated financial data (INR Cr, unless specified)

Year	Net Revenue	EBITDA	Net Profit	EBITDA (%)	Net (%)	EPS (₹)	BVPS (₹)	RoE (%)	RoIC (%)	P/E (X)	EV/EBITDA (X)
FY24	3,130.6	273.0	98.3	8.7	3.1	7.3	65.0	11.2	14.2	32.3	13.7
FY25	3,226.6	311.2	119.4	9.6	3.7	8.9	74.1	12.0	15.3	26.6	12.1
FY26E	3,522.5	348.0	132.6	9.9	3.8	9.8	83.9	11.7	15.7	23.9	10.8
FY27E	3,784.8	395.2	154.6	10.4	4.1	11.5	95.4	12.0	16.7	20.5	9.5
FY28E	4,065.7	419.2	162.2	10.3	4.0	12.0	107.4	11.2	16.8	19.6	8.8

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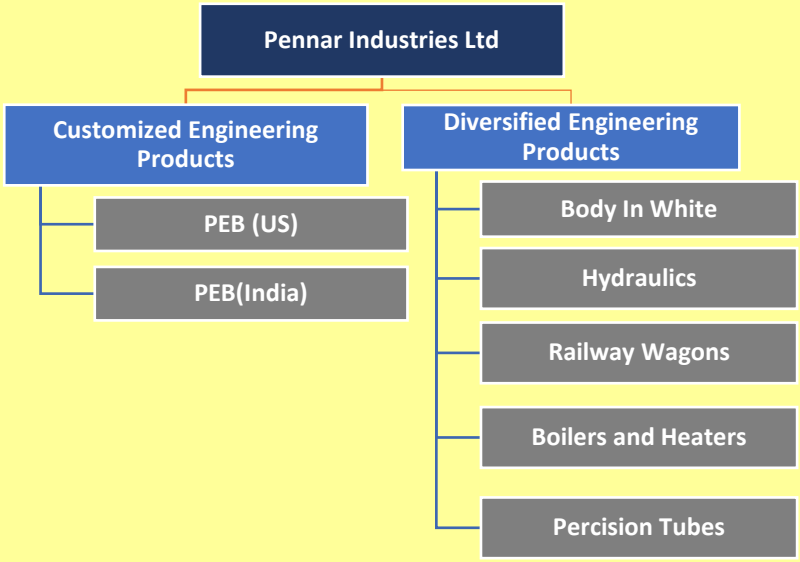
Why Invest in Pennar?

- **Strong Financial Performance**
  The Company has reported a Profit after Tax of Rs. 119.45 cr as against Rs. 98.35 cr in the previous year and posted a growth of 3.7%. The rise is mainly due to increase in volume of operations. The company's revenue also grew by 3.11% to INR 3,227 cr. during the same period It maintained ROCE of 19% in FY 2025, indicating efficient utilization of capital. Earnings are expected to grow by 4% to INR 162 cr. with the revenue reaching INR 4,066 cr in FY28E.

- **Diversified Engineering company with End-to-End capabilities**
  Pennar Industries offers a diverse range of over 1,000+ engineered products across key sectors, including Railways, Automotive, Infrastructure, White Goods, and General Engineering supported by 13 plants and a strong international footprint.

Pennar's Diversified Business Presence

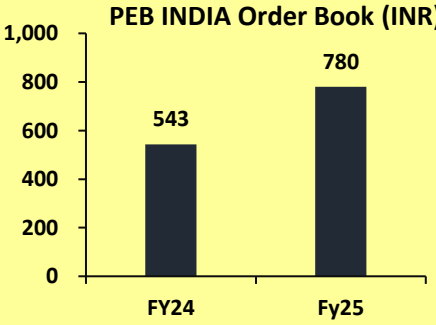


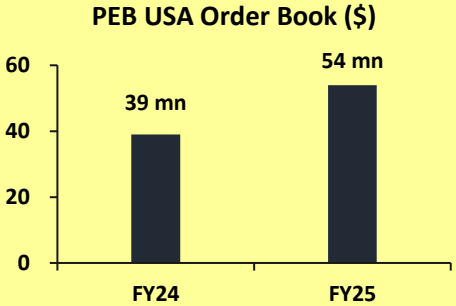
Transformation Pillar 1

From Steel to an Engineering Powerhouse

The growth came with modular assemblies including Pre-Engineered Buildings (PEB), Body-in-White (BIW) structures, and hydraulics. Today, Pennar is delivering advanced precision systems and engineering services, positioning itself not merely as a steel producer but as an integrated engineering solutions provider.

- **Strong Customer Base & Repeat Orders**
  Pennar Industries has successfully catered to over 1,077 customers in FY25, showcasing strong customer retention and a steady flow of order book. AS on 31 March 2025, the order book stood at INR 780 cr for PEB India and $54 mn for PEB USA.





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Transformation Pillar 2

From India to Global Market

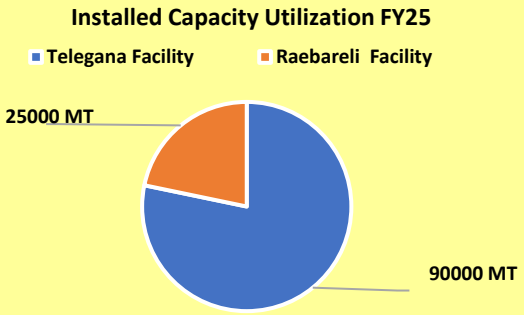
Pennar has established a US subsidiary, Ascent Buildings, expanded its footprint to serve European clients and OEMs, and exports BIW solutions globally. With a Pre-Engineered Building facility in Tennessee, USA, Pennar now leverages a strong backlog in the American market to scale operations worldwide. Supported by dedicated international sales teams, global orders, and foreign subsidiaries, Pennar has transitioned into a full-fledged global player.

Transformation Pillar 3

Towards Integrated Engineering Solutions

The third pillar of Pennar's transformation is its strategic push into integrated, high-value engineering solutions. By combining manufacturing expertise with design and precision engineering capabilities, Pennar delivers comprehensive solutions that meet complex customer needs across industries. This integrated approach positions the Company as a trusted partner in sectors ranging from infrastructure and construction to automotive industrial engineering.

- **Robust Expansion through Acquisitions and Joint Venture**
  The Company is expanding its manufacturing operations by establishing its PEB manufacturing plant in the Northern part of India at Raebareli, Uttar Pradesh. The facility covers 16 acres with a built-up area of **12,000 sqm** and has an annual production capacity of **36,000 mt.** Currently**, 65%** of this capacity is utilized, leaving room for an additional **25%** to be tapped. The plant will enable the Company to meet the demands of clients in the northern and eastern part of India, significantly reducing transportation costs.



The **Pennar–Zetwerk joint venture (JV)** is Pennar Industries springboard into full-scale solar-module manufacturing. The JV will see Pennar contribute its existing solar-business assets while investing **INR 18 cr.** Zetwerk will bring its contract-manufacturing platform and hold the majority stake. The partnership plans to serve both Indian and export markets, adding another high-growth vertical to Pennar's portfolio and advancing the Group's decarbonization goals.

- **Focus on Innovation & Value addition**
  Pennar is committed to enhancing value through high-margin, niche applications and custom-built solutions such as solar MMS, large-diameter welded tubes, and complex PEBs. With over **90%** of revenue derived from value-added products, its focus on innovation ensures improved realizations and long-term sustainability**.**

- **Manufacturing & Execution Excellence**
  Pennar's state-of-the-art facilities are equipped with advanced technologies such as laser cutting, plasma cutting, transfer presses, and CNC machines. These capabilities allow them to execute large-scale, high-volume, and high-precision projects while maintaining the highest standards of quality and reliability.

- **Visionary Management**
  Pennar Industries is guided by a forward-looking management team that combines industry expertise with strategic foresight. The leadership drives innovation, operational excellence, and diversification, ensuring sustainable growth across sectors like automotive, infrastructure, energy, and heavy engineering.

Valuation of PIL

We value PIL using DCF methodology, assuming 10.4% WACC. This has given us a FY28 price target of INR 347 per share, representing an upside of 26% from the CMP.

PIL's DCF valuation

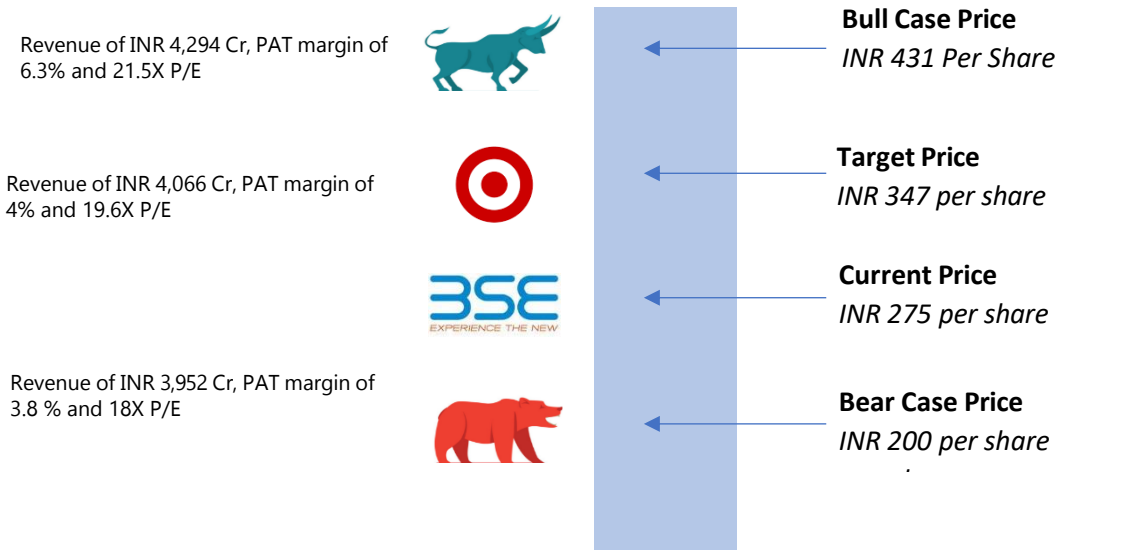
Fig in INR Cr (unless specified)	FY25	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E
Revenue	3227	3522	3785	4066	4348	4637	4928	5217	5500	5775	6037
EBITDA	311	348	395	419	443	466	488	509	529	547	563
EBITDA margin(%)	9.6%	9.9%	10.4%	10.3%	10.2%	10.0%	9.9%	9.8%	9.6%	9.5%	9.3%
Net profit	119	133	155	162	170	175	183	188	195	199	202
Net profit (%)	3.70	3.76	4.08	3.99	3.90	3.77	3.71	3.60	3.55	3.45	3.34
Cash flow from operations	256	283	330	342	363	384	407	427	446	464	481
CFO to EBITDA (%)	82.3%	81.5%	83.5%	81.6%	82.0%	82.5%	83.4%	83.9%	84.3%	84.8%	85.5%
FCFF	220	247	262	341	368	395	429	457	481	504	524
FCFF to EBITDA (%)	70.8%	70.9%	66.4%	81.4%	83.2%	84.8%	88.0%	89.8%	91.0%	92.2%	93.1%
Discounted FCFF				341	328	313	303	287	268	250	231
Terminal Value				6,502							
Total of Discounted FCFF FY28				2,321							
FY28 Present Value of Terminal Value				2,872							
FY28 Value of Operations				5,193							
FY28 Net Debt				505							
FY28 Value of Equity				4,689							
FY28 Value of Equity per share				347							
CMP				275							
Upside potential (%)				26%							

Our Bull and Bear Case Scenarios

We have prepared our Bull and Bear case scenarios based on revenue growth, PAT margin and P/E multiples:

- **Bull Case:** We have an assumed revenue of INR 4,294 Cr (10% 3-year CAGR) and a net margin of 6.3% at a P/E of 21.5X, which will result in a Bull Case price target of INR 431 per share (an upside of 77% from CMP).
- **Bear Case:** We have an assumed revenue of INR 3,952 Cr (7% 3-year CAGR) and a net margin of 3.8% at a P/E of 18X, which will result in a Bear Case price target of INR200 per share (a downside of 27% from CMP).

Bull & Bear Case Scenario



Source: BSE & Ventura Research

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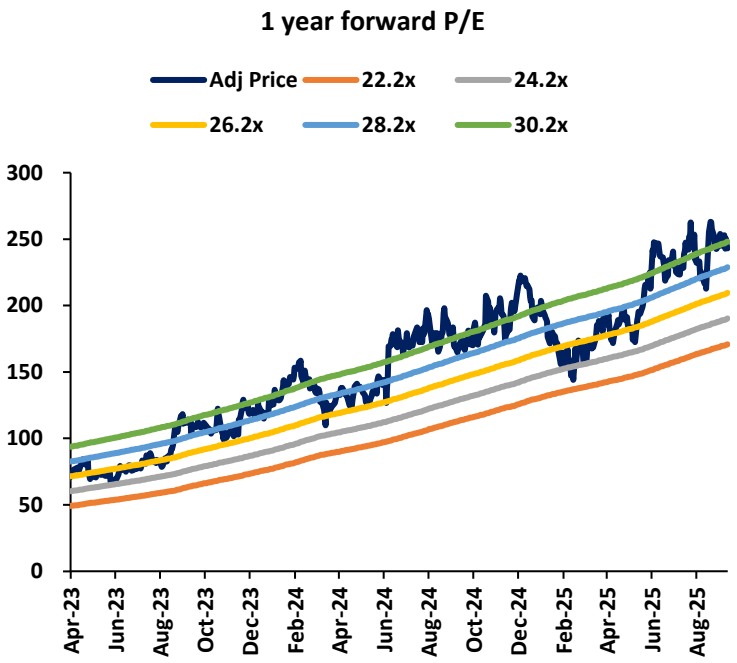
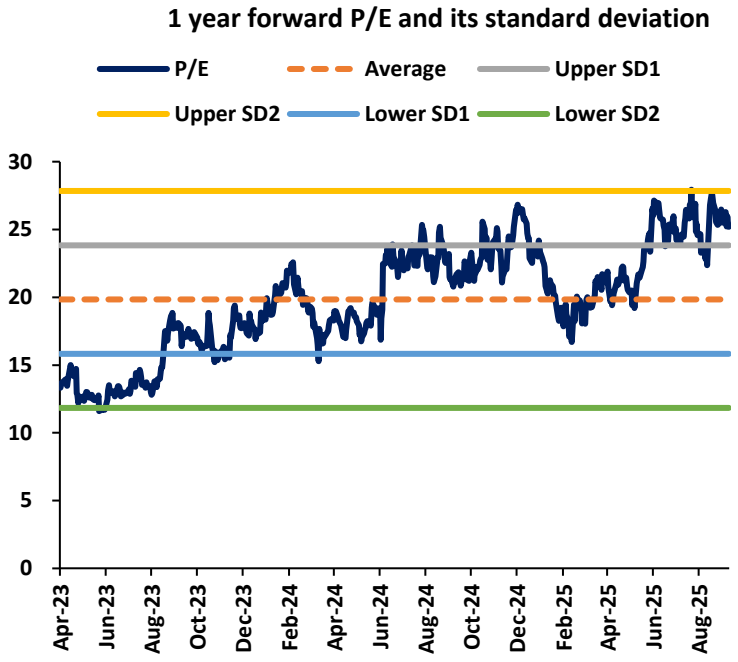
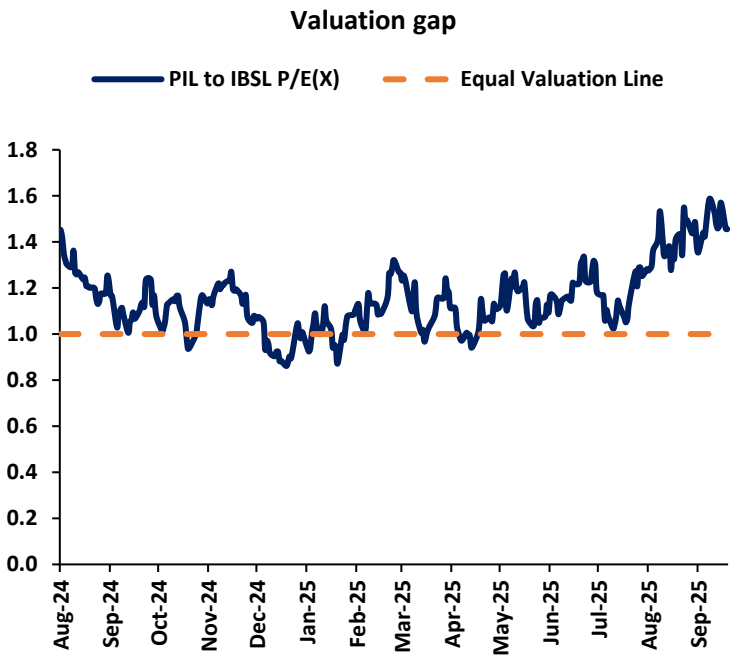
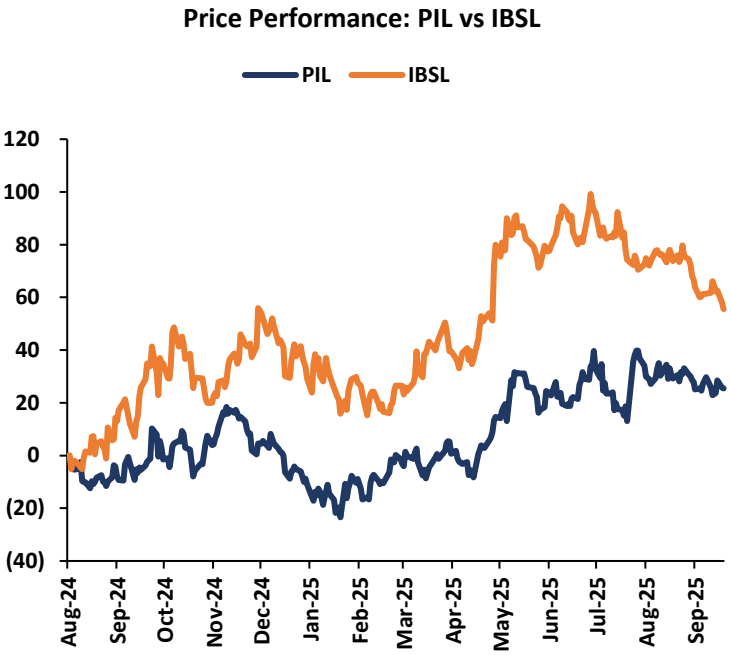
Forward P/E Bands Indicate Valuation Range and Price Trajectory









Source: Ventura Research

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Phases of PIL financial performance

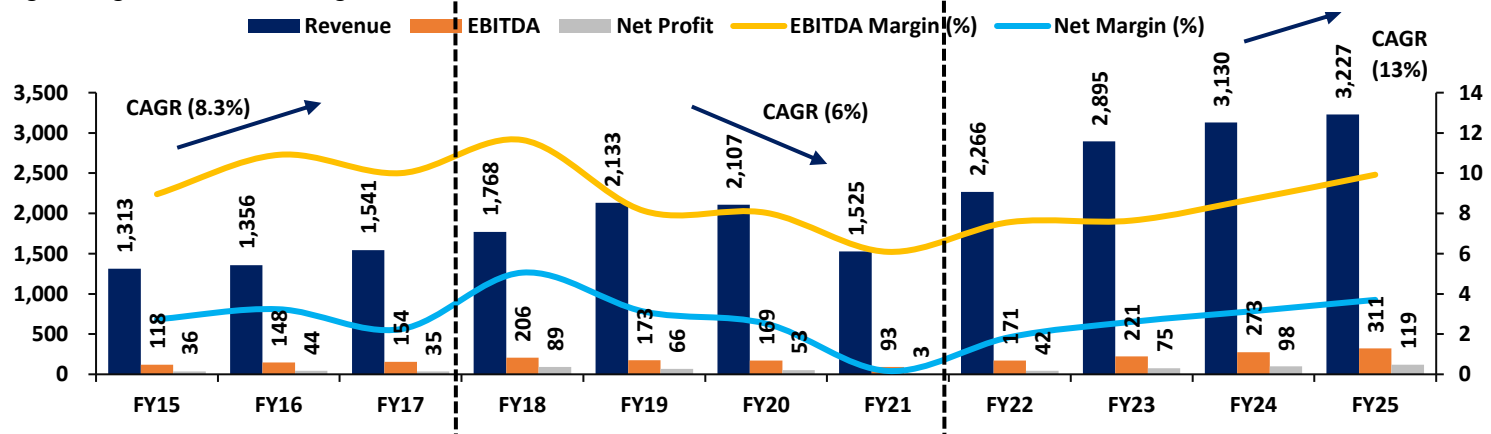
We have analyzed PIL's past 10 years and it has steadily evolved from a primarily engineering and steel-focused company into a diversified industrial powerhouse with operations across automotive, infrastructure, energy, and engineered products. The company's growth has been underpinned by strategic expansions, acquisitions, operational efficiencies, and a strong focus on high-margin, value-added products.

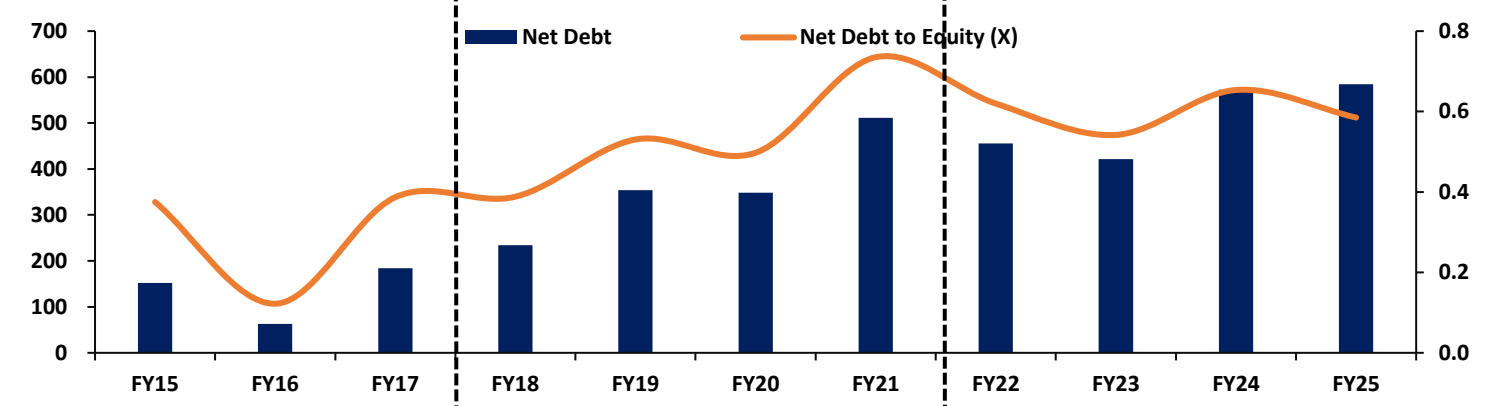
PIL's business performance over the years

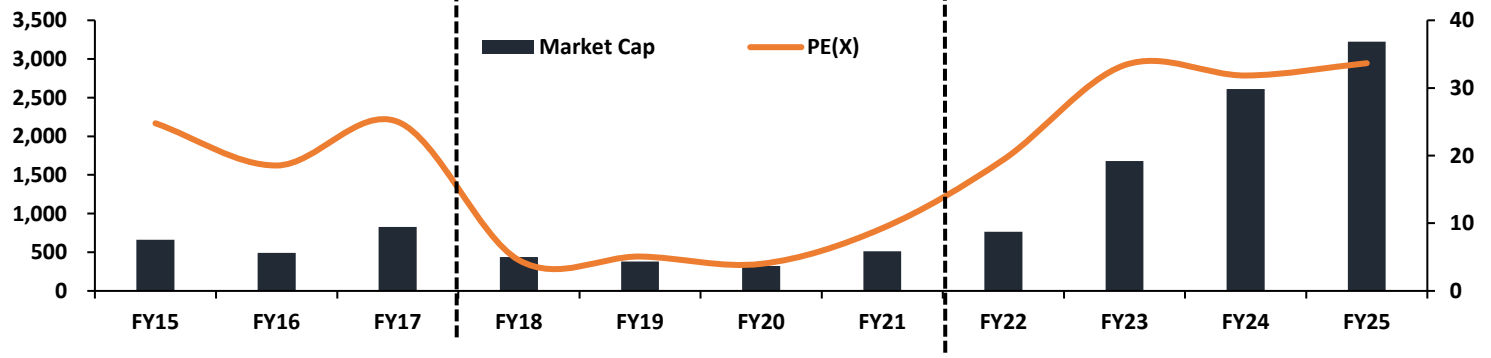
Fy15-Fy17 during this period revenue reflected expansion in its core steel, automotive components, and engineered solutions businesses. Capital utilization was enhanced and working capital reduced. It strengthened its position as a key player in the engineering and manufacturing sector

From FY18 to FY21, PIL showed relatively stable revenues but faced challenges in profitability and margins, particularly in FY21 due to the COVID-19 impact. It positioned itself as a key player in the engineering and manufacturing sector.

Net profit rose by **3.7%** in FY25, totaling **INR 119.45 Cr**, up from **INR 98.35 Cr** in FY24.Post covid company had new acquisitions and new Joint venture domestically and globally boosted the company's revenue.







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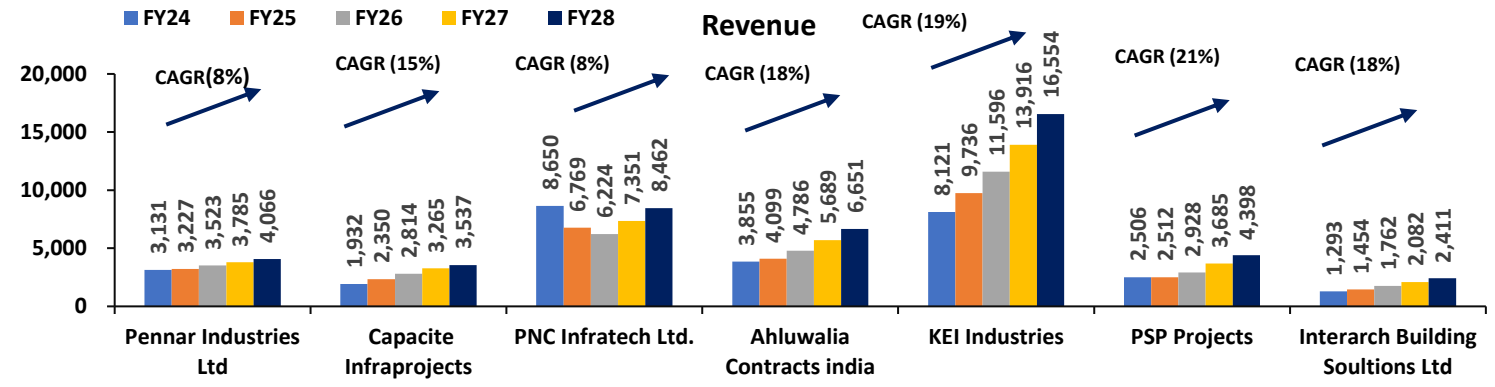
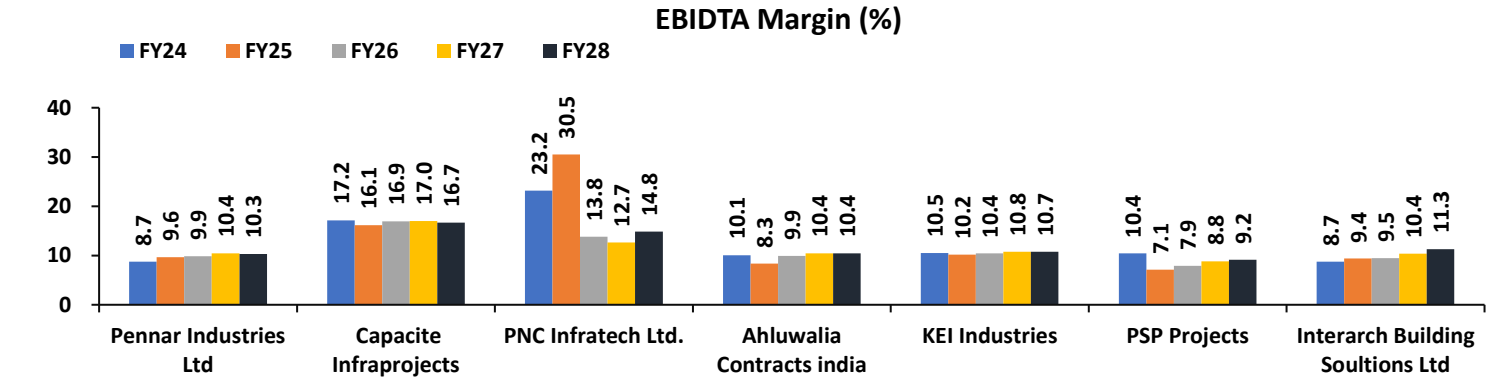
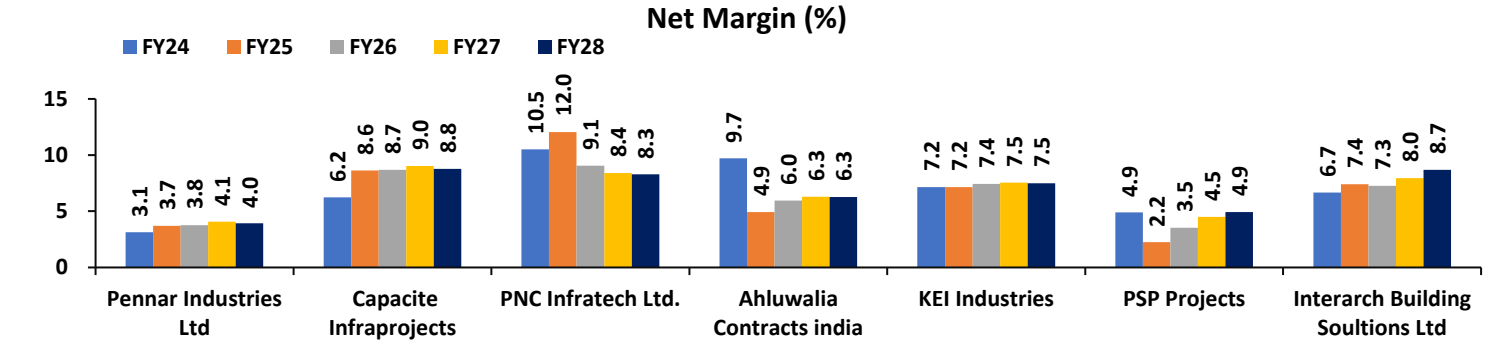
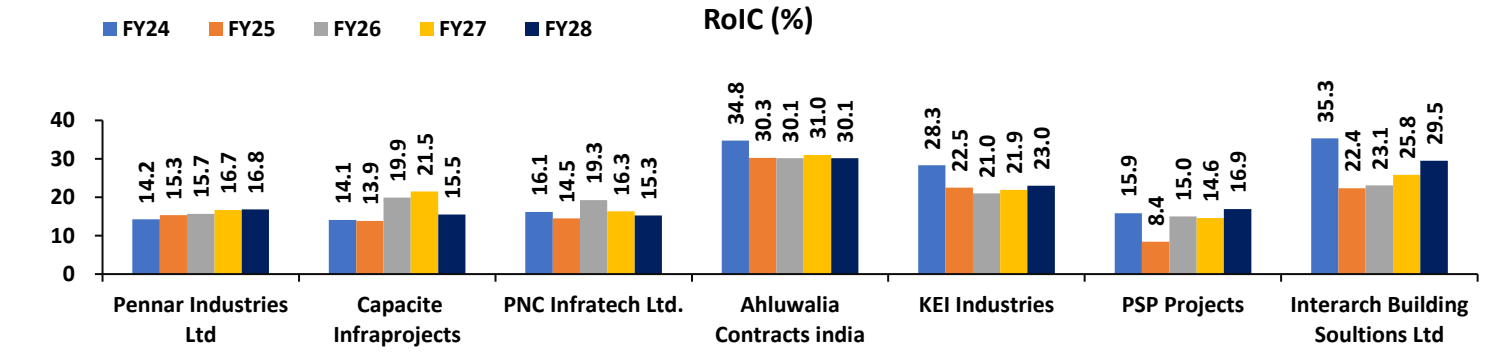
Peer Comparison









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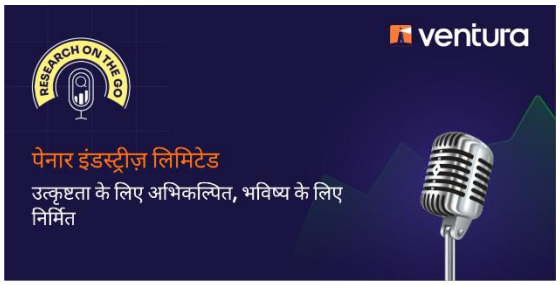
Valuation and comparable metrics of domestic and global companies

Company Name	Mkt Cap	Price	PEG (X)	P/E (X)			EV/Sales (X)			EV/EBIDTA (X)			RoE (%)			RoIC (%)			Sales			EBITDA Margin (%)			Net Margin (%)		
				2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
Domestic Peers (fig in INR cr, unless specified)																											
Pennar Industries Ltd	3,251	244.0	0.6	23.9	20.5	19.6	1.1	1.0	0.9	10.8	9.5	8.8	11.7	12.0	11.2	15.7	16.7	16.8	3,523	3,785	4,066	9.9	10.4	10.3	3.8	4.1	4.0
Capacite Infraprojects	2,520	297.9	0.2	10.3	8.5	8.1	0.9	0.7	0.8	5.1	4.2	4.9	12.7	13.5	12.9	19.9	21.5	15.5	2,814	3,265	3,537	16.9	17.0	16.7	8.7	9.0	8.8
PNC Infratech Ltd.	7,833	305.4	(0.3)	13.9	12.7	11.2	0.9	0.8	0.8	6.9	6.7	5.3	9.3	9.3	9.6	19.3	16.3	15.3	6,224	7,351	8,462	13.8	12.7	14.8	9.1	8.4	8.3
Ahluwalia Contracts india	6,327	944.5	0.6	22.2	17.6	15.2	1.2	1.0	0.8	11.7	9.2	7.7	13.7	14.7	14.6	30.1	31.0	30.1	4,786	5,689	6,651	9.9	10.4	10.4	6.0	6.3	6.3
KEI Industries	38,481	4,027.2	1.2	44.6	36.6	31.0	3.2	2.7	2.2	30.7	24.6	20.6	13.1	13.7	14.1	21.0	21.9	23.0	11,596	13,916	16,554	10.4	10.8	10.7	7.4	7.5	7.5
PSP Projects	2,984	752.7	1.2	28.8	18.0	13.8	1.0	0.8	0.7	12.6	9.2	7.3	7.9	11.2	12.8	15.0	14.6	16.9	2,928	3,685	4,398	7.9	8.8	9.2	3.5	4.5	4.9
Interarch Building Soultions Ltd	3,510	2,109.1	0.6	27.4	21.2	16.7	1.9	1.5	1.3	19.5	14.8	11.4	14.6	15.9	16.9	23.1	25.8	29.5	1,762	2,082	2,411	9.5	10.4	11.3	7.3	8.0	8.7
Global Peers(fig in USD mn, unless specified)																											
Zamil steel	503	8.4	2.3	19.3	16.1	10.2	0.6	0.5	0.5	7.0	6.4	4.9	17.0	16.9	21.0	13.0	13.1	17.6	1,634	1,741	1,864	8.1	8.6	10.1	1.6	1.8	2.6
Blue Scope Steel	6,492	14.8	4.4	119.6	13.1	11.2	0.6	0.6	0.6	10.1	5.3	4.7	0.8	6.7	7.4	2.6	10.2	11.2	10,555	11,206	11,602	6.1	11.2	11.9	0.5	4.4	5.0
Kirby Building	4,983	89.3	0.9	14.0	12.5	12.1	1.7	1.6	1.5	7.5	6.7	6.6	10.6	10.7	10.2	11.9	12.5	12.0	3,362	3,530	3,773	23.1	23.8	23.3	10.6	11.3	10.9
Nucor Corp	33,058	144.0	0.8	17.2	13.6	11.8	1.1	1.1	1.0	8.2	7.0	5.9	9.0	10.4	10.7	12.0	13.7	15.4	32,762	34,045	35,887	13.6	15.3	16.3	5.9	7.1	7.8
Steel Dynamics Inc	19,805	134.5	0.6	15.1	10.8	9.6	1.2	1.1	1.0	9.7	7.2	6.3	14.4	17.2	16.3	14.4	19.1	19.7	18,489	19,856	20,501	12.7	15.5	16.4	7.1	9.2	10.0



Source: Ventura Research

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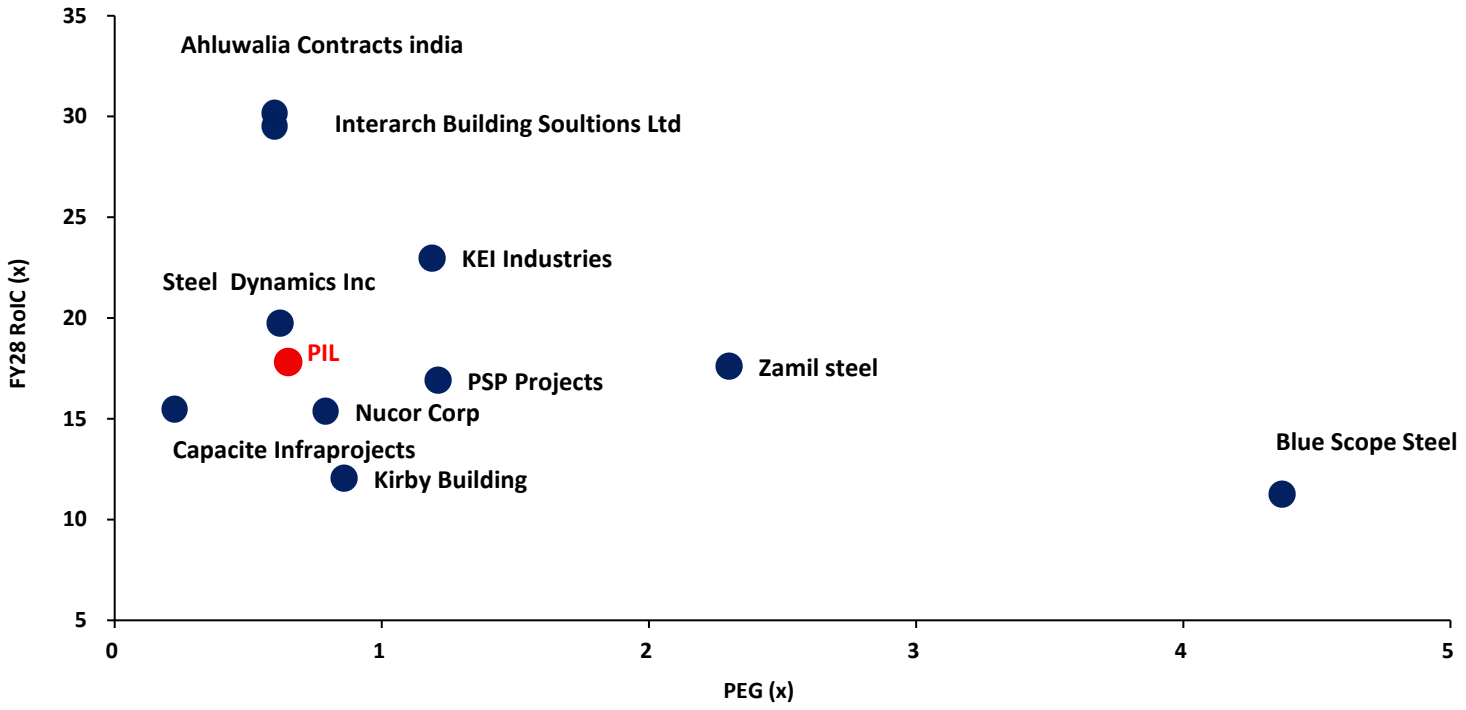
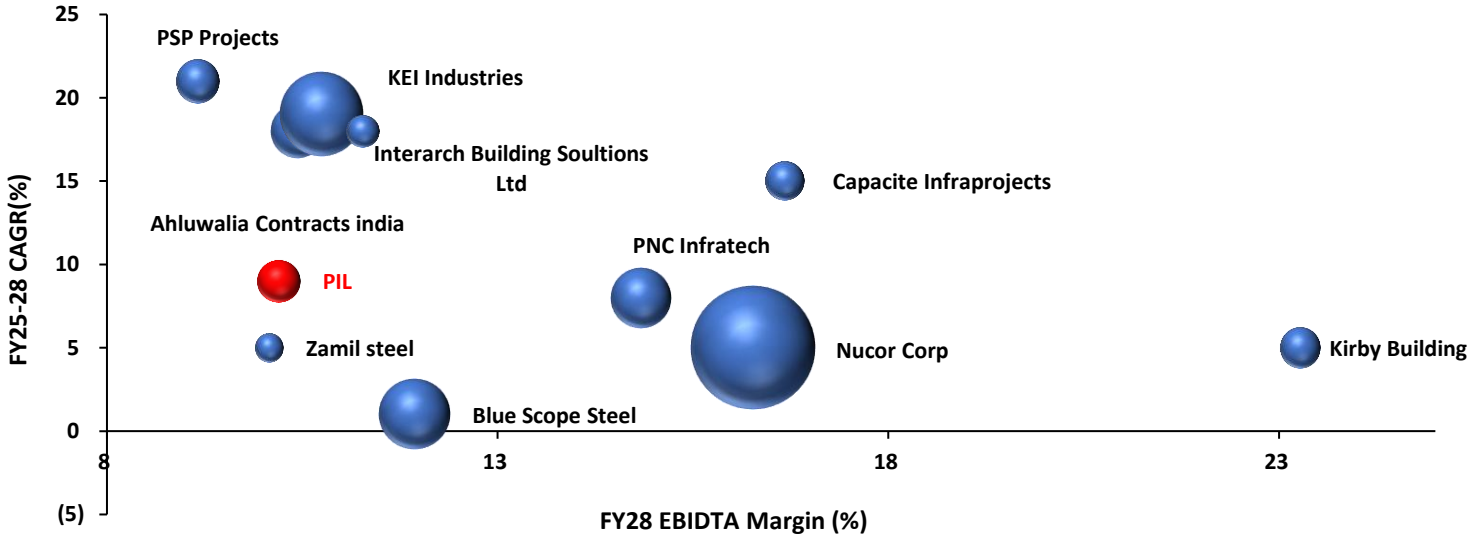
Strong earnings visibility and improving return ratios support long-term growth



High Growth and Strong Profitability Outlook



Bubble size represents the size of the companies' revenue

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PIL's Financial Summary

Fig in INR Cr (unless specified)	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E
Revenue from operations	3,130.6	3,226.6	3,522.5	3,784.8	4,065.7	4,348.4	4,637.2	4,928.3	5,217.0	5,500.4	5,775.1	6,036.8
YoY Growth (%)	*8.2*	*3.1*	*9.2*	*7.4*	*7.4*	*7.0*	*6.6*	*6.3*	*5.9*	*5.4*	*5.0*	*4.5*
Raw Material Cost	1,937.7	1,915.9	2,078.3	2,233.1	2,398.8	2,565.6	2,735.9	2,907.7	3,078.0	3,245.2	3,407.3	3,561.7
RM Cost to Sales (%)	*61.9*	*59.4*	*59.0*	*59.0*	*59.0*	*59.0*	*59.0*	*59.0*	*59.0*	*59.0*	*59.0*	*59.0*
Employee Cost	310.0	336.5	372.0	399.7	429.4	459.2	489.7	520.5	551.0	580.9	609.9	637.5
Employee Cost to Sales (%)	*9.9*	*10.4*	*10.6*	*10.6*	*10.6*	*10.6*	*10.6*	*10.6*	*10.6*	*10.6*	*10.6*	*10.6*
Other Expenses	609.9	663.0	724.2	756.9	818.3	881.0	945.8	1,012.0	1,078.7	1,145.3	1,211.0	1,275.0
Other Expenses to Sales (%)	*19.5*	*20.5*	*20.6*	*20.0*	*20.1*	*20.3*	*20.4*	*20.5*	*20.7*	*20.8*	*21.0*	*21.1*
EBITDA	273.0	311.2	348.0	395.2	419.2	442.6	465.7	488.1	509.3	529.0	546.9	562.5
EBITDA Margin (%)	*8.7*	*9.6*	*9.9*	*10.4*	*10.3*	*10.2*	*10.0*	*9.9*	*9.8*	*9.6*	*9.5*	*9.3*
PAT	98.6	120.2	133.4	155.4	163.1	170.7	175.7	184.1	189.1	196.5	200.4	203.2
PAT Margin (%)	*3.1*	*3.7*	*3.8*	*4.1*	*4.0*	*3.9*	*3.8*	*3.7*	*3.6*	*3.6*	*3.5*	*3.4*
Net Profit	98.3	119.4	132.6	154.6	162.2	169.7	174.7	183.0	187.9	195.3	199.0	201.8
Net Margin (%)	*3.1*	*3.7*	*3.8*	*4.1*	*4.0*	*3.9*	*3.8*	*3.7*	*3.6*	*3.6*	*3.4*	*3.3*
Adjusted EPS	7.3	8.9	9.8	11.5	12.0	12.6	12.9	13.6	13.9	14.5	14.8	15.0
P/E (X)	*32.3*	*26.6*	*23.9*	*20.5*	*19.6*	*18.7*	*18.2*	*17.3*	*16.9*	*16.2*	*15.9*	*15.7*
Adjusted BVPS	65.0	74.0	83.8	95.3	107.3	119.9	132.8	146.4	160.3	174.8	189.5	204.5
P/BV (X)	*3.6*	*3.2*	*2.8*	*2.5*	*2.2*	*2.0*	*1.8*	*1.6*	*1.5*	*1.3*	*1.2*	*1.1*
Enterprise Value	3,745.3	3,756.1	3,757.2	3,748.4	3,677.2	3,594.6	3,507.0	3,398.1	3,280.8	3,151.0	3,014.7	2,873.0
EV/EBITDA (X)	*13.7*	*12.1*	*10.8*	*9.5*	*8.8*	*8.1*	*7.5*	*7.0*	*6.4*	*6.0*	*5.5*	*5.1*
Ev/Sales		1.2	1.1	1.0	0.9	0.8	0.8	0.7	0.6	0.6	0.5	0.5
Net Worth	876.5	998.5	1,131.1	1,285.7	1,447.9	1,617.5	1,792.2	1,975.2	2,163.1	2,358.4	2,557.4	2,759.2
Return on Equity (%)	*11.2*	*12.0*	*11.7*	*12.0*	*11.2*	*10.5*	*9.7*	*9.3*	*8.7*	*8.3*	*7.8*	*7.3*
Capital Employed	1,610.5	1,773.6	1,939.1	2,148.7	2,322.9	2,530.5	2,733.2	2,934.2	3,150.1	3,353.4	3,560.4	3,760.2
Return on Capital Employed (%)	*9.6*	*10.3*	*10.5*	*10.9*	*10.7*	*10.3*	*10.0*	*9.8*	*9.5*	*9.2*	*8.9*	*8.6*
Invested Capital	1,449.4	1,582.1	1,715.9	1,861.7	1,952.6	2,039.7	2,126.8	2,200.9	2,271.4	2,336.9	2,399.7	2,459.8
Return on Invested Capital (%)	*14.2*	*15.3*	*15.7*	*16.7*	*16.8*	*17.0*	*17.1*	*17.3*	*17.4*	*17.5*	*17.5*	*17.5*
Cash Flow from Operations	224.7	256.0	283.5	329.8	342.1	363.1	384.3	406.9	427.2	445.8	464.0	480.9
Cash Flow from Investing	(256.8)	(105.2)	(133.6)	(179.7)	(120.6)	(121.2)	(125.1)	(118.9)	(119.6)	(119.1)	(121.5)	(124.5)
Cash Flow from Financing	(22.3)	(100.0)	(97.7)	(88.5)	(140.7)	(123.7)	(146.1)	(163.6)	(164.7)	(191.3)	(200.6)	(219.0)
Net Cash Flow	(54.3)	50.8	52.2	61.6	80.8	118.2	113.2	124.4	142.9	135.4	141.9	137.5
Free Cash Flow	64.4	220.4	246.7	262.4	341.1	368.3	395.0	429.4	457.3	481.2	504.0	524.0
FCF to Revenue (%)	*2.1*	*6.8*	*7.0*	*6.9*	*8.4*	*8.5*	*8.5*	*8.7*	*8.8*	*8.7*	*8.7*	*8.7*
FCF to EBITDA (%)	*23.6*	*70.8*	*70.9*	*66.4*	*81.4*	*83.2*	*84.8*	*88.0*	*89.8*	*91.0*	*92.2*	*93.1*
FCF to Net Profit (%)	*65.5*	*184.5*	*186.0*	*169.8*	*210.3*	*217.0*	*226.1*	*234.7*	*243.4*	*246.5*	*253.2*	*259.6*
FCF to Net Worth (%)	*7.4*	*22.1*	*21.8*	*20.4*	*23.6*	*22.8*	*22.0*	*21.7*	*21.1*	*20.4*	*19.7*	*19.0*
Total Debt	734	775	808	863	875	913	941	959	987	995	1,003	1,001
Net Debt	573	584	585	576	505	422	335	226	108	(21)	(158)	(299)
Net Debt to Equity (X)	*0.7*	*0.6*	*0.5*	*0.4*	*0.3*	*0.3*	*0.2*	*0.1*	*0.1*	*(0.0)*	*(0.1)*	*(0.1)*
Net Debt to EBITDA (X)	*2.1*	*1.9*	*1.7*	*1.5*	*1.2*	*1.0*	*0.7*	*0.5*	*0.2*	*(0.0)*	*(0.3)*	*(0.5)*
Interest Coverage Ratio (X)	*1.8*	*2.0*	*2.1*	*2.2*	*2.2*	*2.1*	*2.1*	*2.1*	*2.1*	*2.1*	*2.0*	*2.0*
Fundamental scores												
Altman Z Score	1.7	1.7	1.7	1.7	1.7	1.7	1.6	1.6	1.6	1.6	1.6	1.6
Piotroski F-score	5.0	7.0	8.0	6.0	5.0	5.0	5.0	5.0	5.0	5.0	5.0	5.0
Beneish M-score	(2.1)	(2.2)	(2.3)	(2.3)	(2.3)	(2.4)	(2.4)	(2.4)	(2.4)	(2.4)	(2.4)	(2.4)

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PIL's SWOT Analysis

Pennar Industries Ltd

Growth Drivers

- Initatives Like smart cities Mission,PM Gati Shakti and renewable energy push are driving growth in PEBs,logistics hubs.The PEB market is projected to reach USD 3.9 billion by 2030 and USD 6.3 billion by 2033.
- PEBs:New Raebareli plant 36000 MTPA) enhances capacity and reduces cost for Northern/Eastern India Projects.
  BIW:Supplies engineered systems to automative OEMs.
- Pennar is a direct participant through its JV with Zetwerk for solar module manufacturing and a supplier of solar (MMS) contributing to India's 500 GW renewable target.

Key Challenges

- PIL's high dependency on sectors like infrastructure,construction,auto,and railway which are cyclical.
- Any slow down in government capex,auto demand, or industrial investments could directly impact order inflows.

New Trends

- Pennar is embedding IoT-enabled predictive maintainence,electro-hydraulic systems,and smart sensors into its hydraulics division.
- Pennar is expanding its solar generation accross its facilities-15% of its power now from renewables in FY25.
- Pennar is advancing steel-intensive PEBSs for faster,cost efficient infra growth and focusing on lightweight BIW and EV-ready components to tap auto electrification

Investment Themes

- The company is well-positioned to benefit from government capex in expansion, modernization, and urban infrastructure projects.
- Global collaborations provide PIL access to advanced technology, ensuring competitive and future-ready offerings.
- Pennar is a futureready engineering leader,leveraging infra,clean energy, and EV megatrends with high-margin and soultions to drive sustaniable growth and strong returns.

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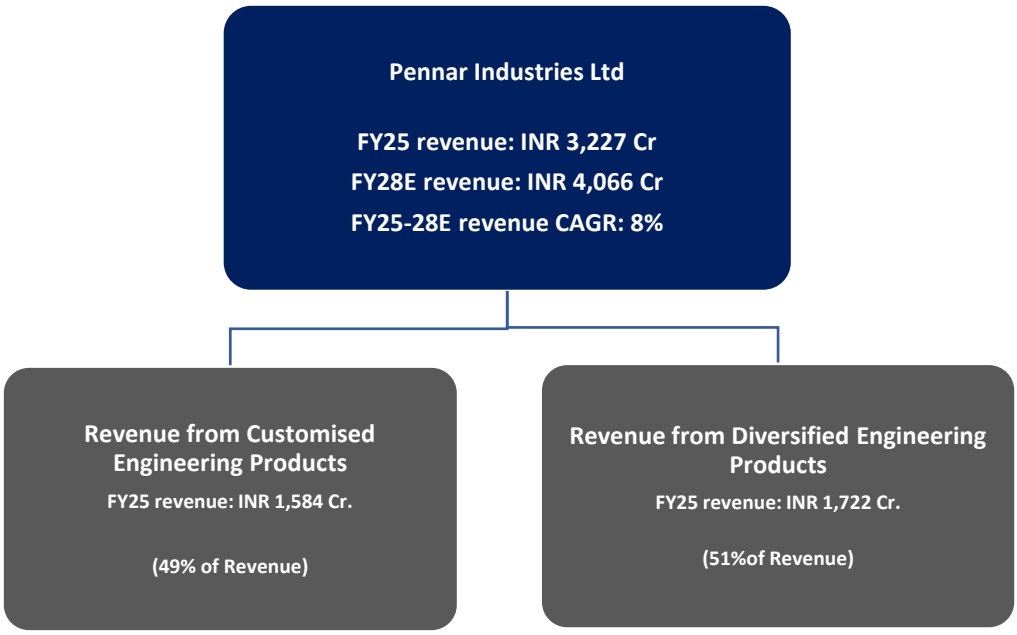
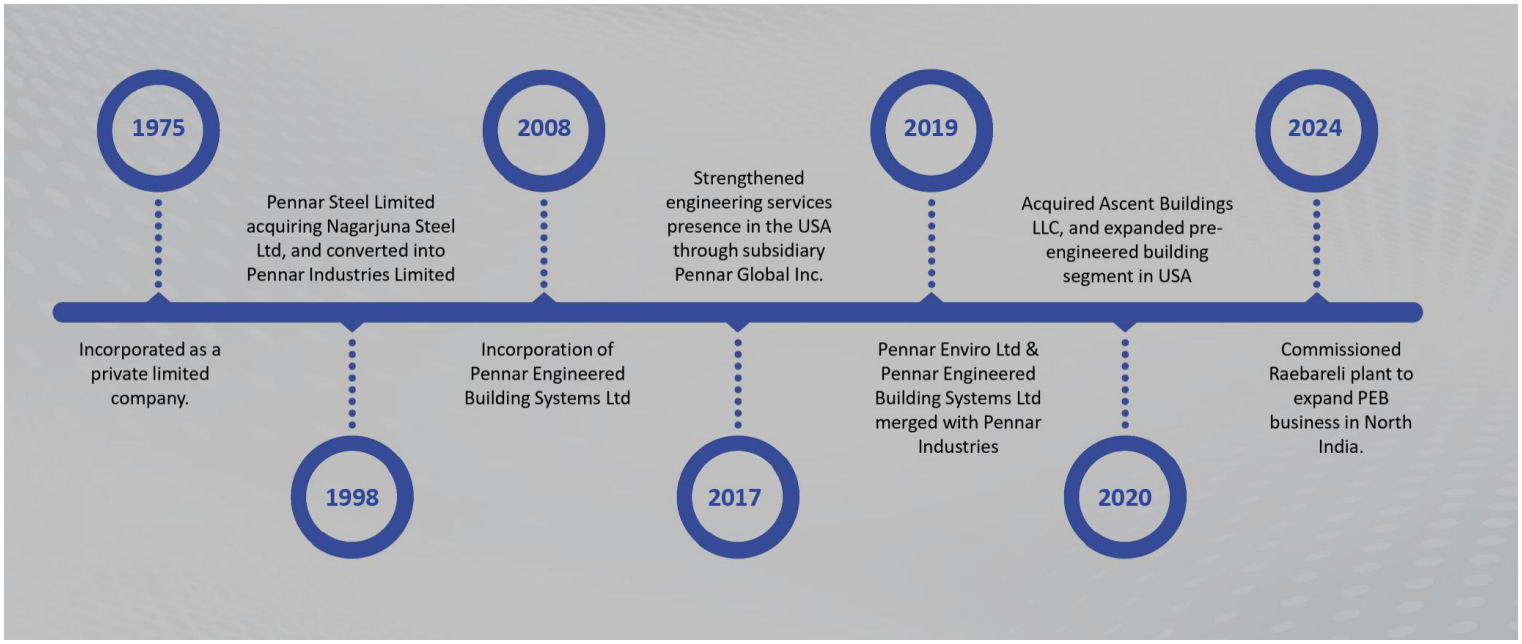
PIL's Business Structure and Ventura growth estimates

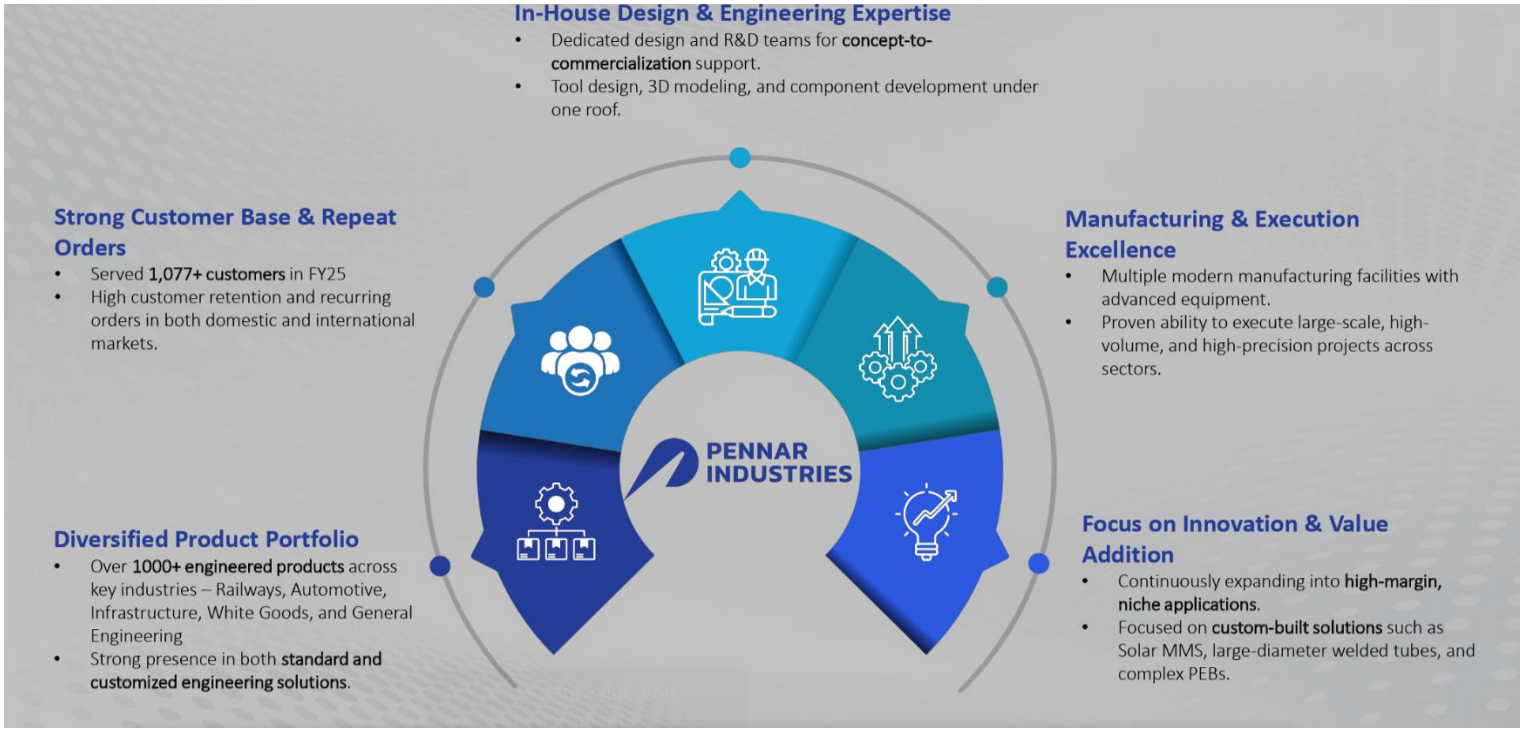
Pennar Industries Limited (PIL) is a multi-sector engineering solutions provider structured around two verticals-**Customized Engineering Products and Diversified Engineering Products**. These are further divided into six core sub-divisions: Pre-Engineered Buildings (PEB), Precision Tubes, Process Heating, Hydraulics, Engineering Services, and Body-in-White (BIW). The business is additionally supported by segments such as railways, renewables, aerospace, and chemicals, creating a diversified yet integrated model.



PIL's Company Overview



PIL's Growth Drivers



- Pennar Industries Limited has built a large and loyal customer base that spans both domestic and international markets. The company caters to blue-chip clients across high-growth sectors such as railways, infrastructure, construction, and automobiles. Its ability to consistently deliver value and precision-engineered solutions has resulted in recurring orders and long-term client relationships. The company serves 500+ customers globally, backed by a diversified product portfolio of over 1,000 engineered products and operations across 13 plants in India, the USA, and France. Its offerings cover industries including automotive (BIW, precision tubes, hydraulics), railways (coach structures, wagon parts), oil & gas, heavy engineering, renewables (solar panels and structures), aerospace, and building & construction (PEBs, industrial and commercial steel structures)

PIL's Customer Base

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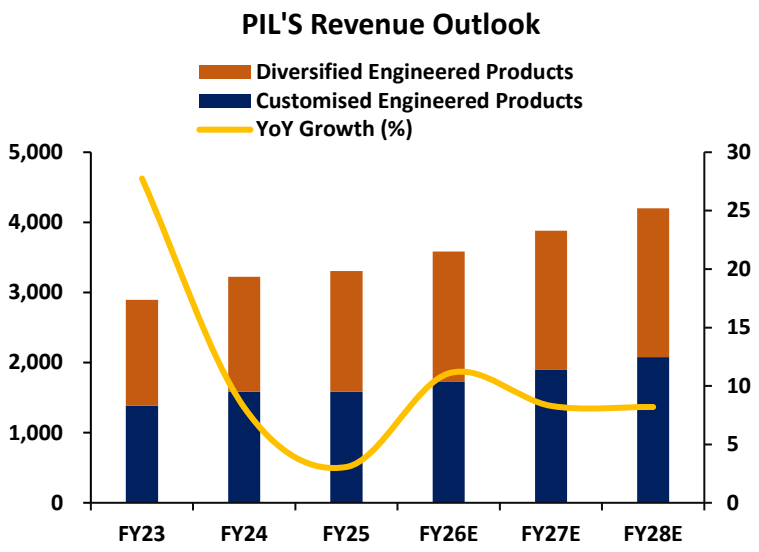
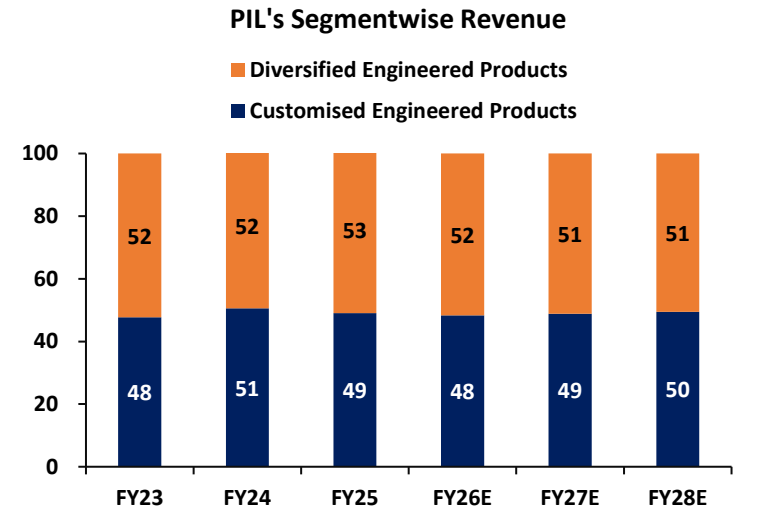
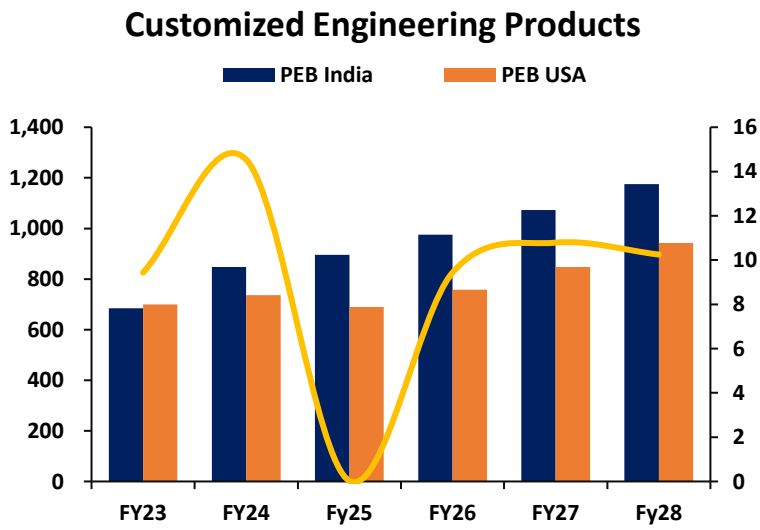






Strong Growth

PIL's is poised for a strong growth trajectory, with revenues expected to expand from **INR 3,227 in FY25 to INR 4,066Cr by FY28E, implying a healthy 8% CAGR**. This positive acceleration is underpinned by a combination of:

- strong executable order book from US,
- repeat institutional orders, and
- rising demand across Infrastructure, Automobiles, Building Construction, General Engineering and Others.

Pennar is expanding its presence in PEB construction, both in India and the US, through strategic acquisitions in the US and by commissioning a new Raebareli plant in India.

- **Customized Engineering Product**-The recent acquisition of the Raebareli plant in India and Ascent company in the US is expected to drive revenue growth, increasing from **INR 1,584 Cr in FY25 to INR 2,118 Cr in FY28E (10.2% CAGR).** The company has an order book of **Rs.750 Cr** in the PEB segment while the order book in the PEB US business stood at **USD 52 Mn.**

- **Diversified Engineering Products –** Positive Growth from **INR 1,722 Cr in FY25 to INR 2,041Cr in FY28E (5.8% CAGR).** The company manufactures over 1,000 products including railways-wagons, steel, solar module mounting solutions, industrial boilers & heaters, solar panels, Hydraulics, precision tubes, BIW, hydraulics and auto components.

Pennar is the largest player in India for industrial components in the organized sector specializing in the development of critical safety and high-performance components.

Customized Engineering Products

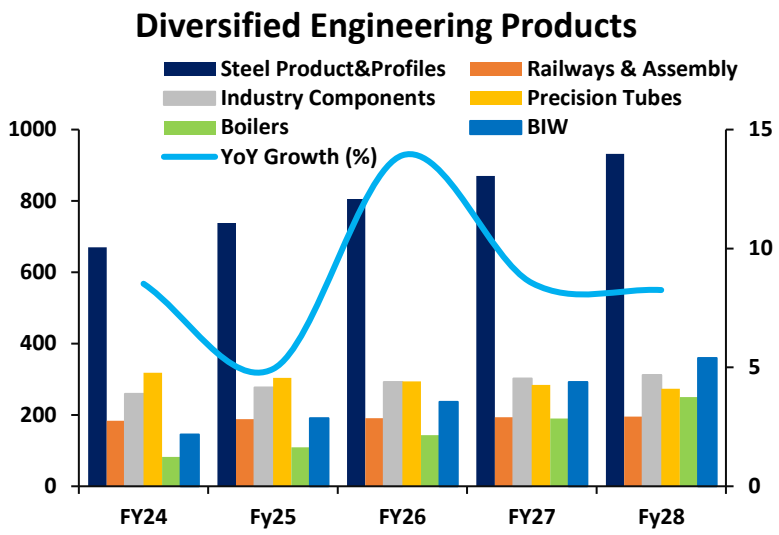
PIL is projected to expand its India PEB margins from **5.7% in FY25 to 9.5% by FY28E**, supported by a strong order book of INR **780 + crore in FY25**. Similarly, the US PEB business is expected to deliver a significant turnaround, improving from a **negative margin of 6.5% in FY24 to around 11.2%**, driven by the acquisition of **Ascent in the US** and a robust order book of **USD 54 mn in FY25**, up from **USD 39 mn in FY24**.

PEB India revenue growth is due to expansion of Raebareli plant, which is fully functional, contributing to growth using 65 % utilization capacity. Projections are based on achieving **85% utilization** across both the **Raebareli and Telangana plants**.

Diversified Engineering Products

PIL is prioritizing growth in its Body-in-White (BIW) and Boilers divisions, with a planned capital expenditure of **INR 65 cr** in FY26 and over **INR 100 cr** in FY27. These investments are anticipated to significantly enhance revenue from both product categories. In FY25, the BIW and Boilers segments recorded a robust **32%** revenue growth compared to FY24.

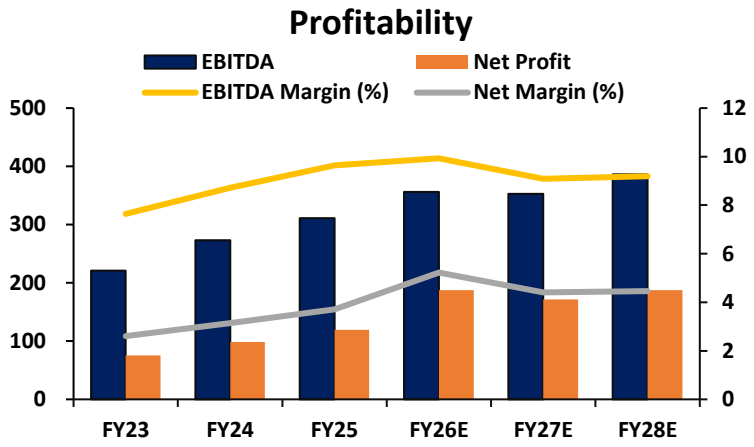
Essentially, PIL is working to consolidate around high-growth, prioritized BUs (PEB, Body-in-White, Boilers & Process Equipment, Engineering Services, Hydraulics) while gradually reducing dependence on diversified/legacy segments.



Profitability

PIL delivered a moderate yet steady financial performance, with consistent growth in both EBITDA and net profit. In FY25, EBITDA increased to INR **311 crore**, with margins improving to **9.6%** from **8.7%** in FY24. Net profit rose to INR **119 crore**, up from INR **98 cr** in the previous year, while net margins improved from **3.1% to 3.7%**.

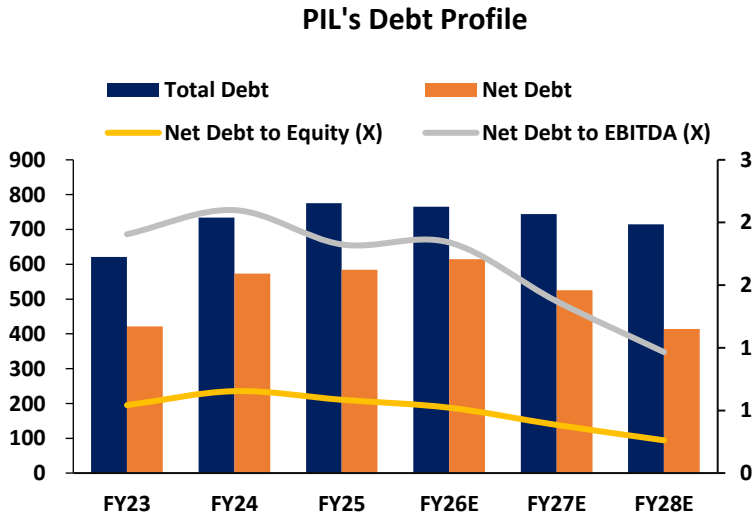
PIL's EBITDA margin is expected to improve from **9.6% in FY25 to 10.3% by FY28E**, with net margins rising from **3.7% to 4%** over the same period. However, despite this growth, a considerable share of EBITDA is being absorbed by **interest costs and other expenses**, which continues to exert pressure on overall margins.



Debt Profile

Debt increased by 33% year-over-year in long-term components, driven by capex in manufacturing facilities. The company approved excess borrowings at its September 30, 2025, AGM to support growth. Total disclosed borrowings across 29 loans (from lenders like Axis Trustee Services, Aditya Birla Finance, and Bank of Baroda) exceed ₹2,000 crore historically, but current outstanding is lower due to repayments.

Currently, Net debt to equity is **0.8 in FY25** the company is effectively managing its debt levels, ensuring financial stability while pursuing growth opportunities.



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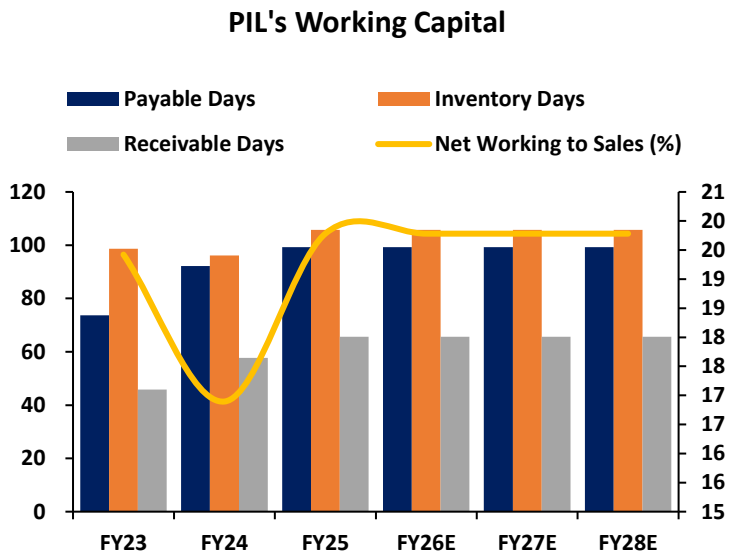
Working Capital

Payable Days: The company has been increased the payable days from **92 to 99** in FY25 and is achieving this very comfortably.

Receivable days: has increased from **58 in FY24 to 66 FY25** which is on higher end.

Inventory Days: has increased from **96 in FY24 to 106 in FY25** which also a stretched scenario.
Conservatively, we have taken into consideration a higher working capital cycle in our projections.

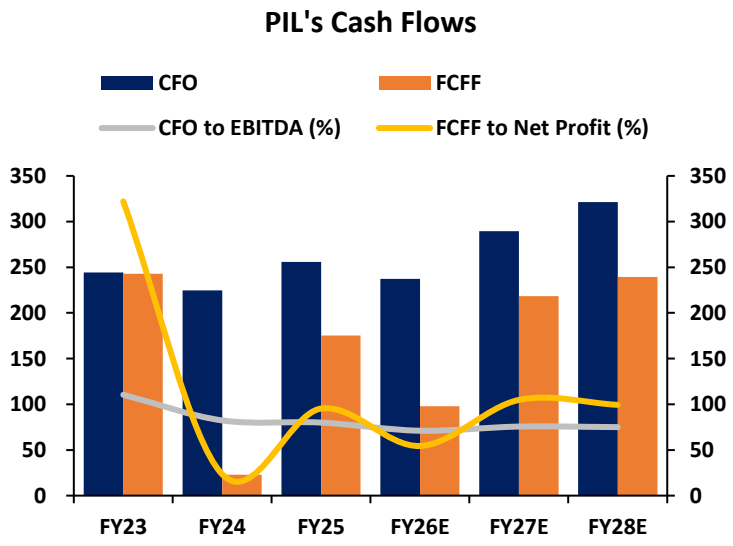


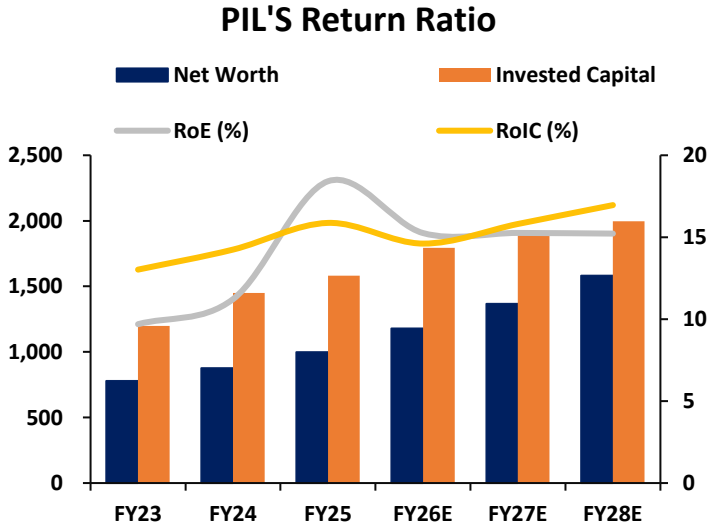
Cashflow Outlook

PIL demonstrated strong cash flow performance in FY2025, characterized by increased operating cash flow, disciplined investing activities, and effective debt management. The positive free cash flow positions the company well for sustainable growth and shareholder value enhancement in the coming fiscal year.

The company generated free cash flow of **INR 129 Cr. in FY2025**, a significant improvement from a negative free cash flow of **INR 21.8 Cr. in FY2024.**

Looking forward, the cash flow is going to increase as the company is expecting good profit in FY28E





Return Ratios

Pennar Industries has maintained strong return ratios, with improving **ROE 10.3% in FY25 from 9.6% in FY24** and **RoIC at 15.3% in Fy25 from 14.2% in FY24**. The company's robust earnings and revenue growth projections further enhance its investment appeal.

By FY28E, RoIC is expected 16.8% highlighting improved capital efficiency and strong shareholder value creation. For investors, this signals that while FY25 reflected short- term pressure, the long-term trajectory remains firmly positive and supportive of sustainable growth.

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Five step Dupont analysis for PIL

We have used five-step Dupont analysis to analyze PIL's financial strength. PIL delivers a RoE of 12.7%, which is moderate compared to higher returns seen in M&B engineering (28.4%) and Capacite Infraprojects (15.6%). However, Interest burden and Tax burden shows better ratio compared to the peers. Overall, Pennar Industries is driven by moderate net profit margins, average asset turnover, and moderate leverage. Financial leverage is a key factor, with Pennar relying moderately on debt for financing, which can drive higher returns but also adds risk.

Five Step Dupont Analysis for FY25- PIL vs Peers

Companies	Interest Burden (x)	Tax Burden (x)	EBIT Margin (%)	Total Asset Turnover (x)	Total Asset to Networth (x)	RoE(%)	Dividend Payout (%)	Susutianable Growth (%)
Panner Industries Ltd.	3.2	0.9	9.6	1.1	3.4	12.0	0.0	9.2
Interarch Building Soultions	1.7	0.8	9.3	1.3	1.5	14.4	18.2	18.1
M&B Engineering Ltd.	0.8	0.9	10.1	1.3	2.8	28.4	0.0	22.6
Capacite Infraprojects	0.2	0.8	20.0	0.7	2.2	12.6	0.0	12.6
PNC Infratech Ltd.	0.6	0.7	28.0	0.4	3.0	13.6	1.9	13.4
Ahluwalia Contracts india	0.8	0.7	8.0	1.1	2.1	11.2	2.0	11.0
KEI Industries	0.9	0.7	10.0	1.3	1.2	15.6	5.5	14.7
PSP Projects	0.7	0.7	4.3	1.1	1.9	4.6	0.0	4.7

PIL operates in a highly specialized niche with very few direct listed peers in both vertical-customized and diversified engineered products, making peer-to-peer benchmarking unfeasible. Accordingly, for relative valuation and performance comparison, we have benchmarked PIL against companies within the broader construction industry.

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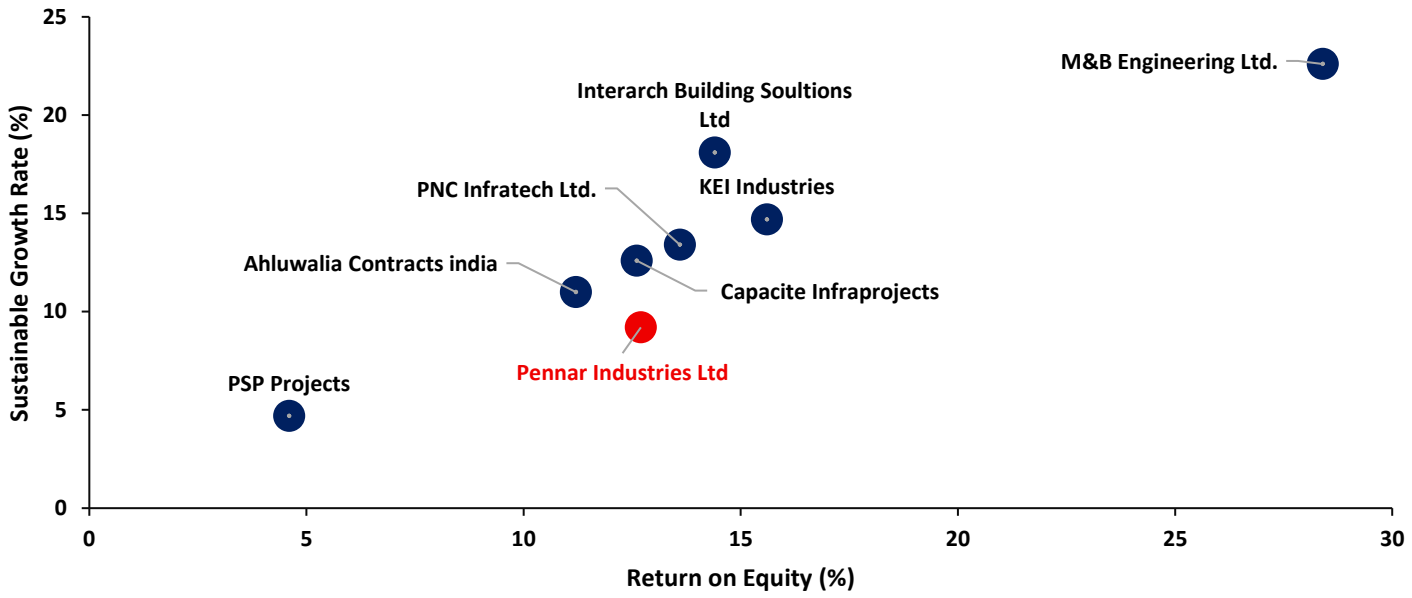
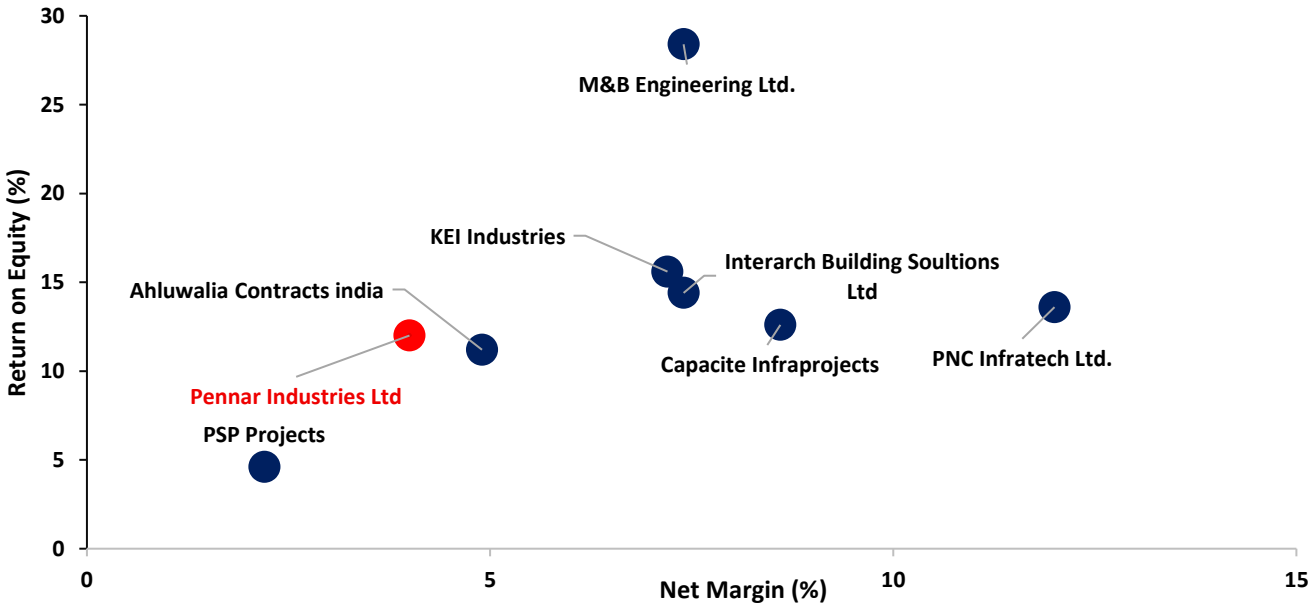
Comparative Positioning of PIL on RoE and Sustainable Growth



PIL's RoE and Net Margin Positioning Among Peers



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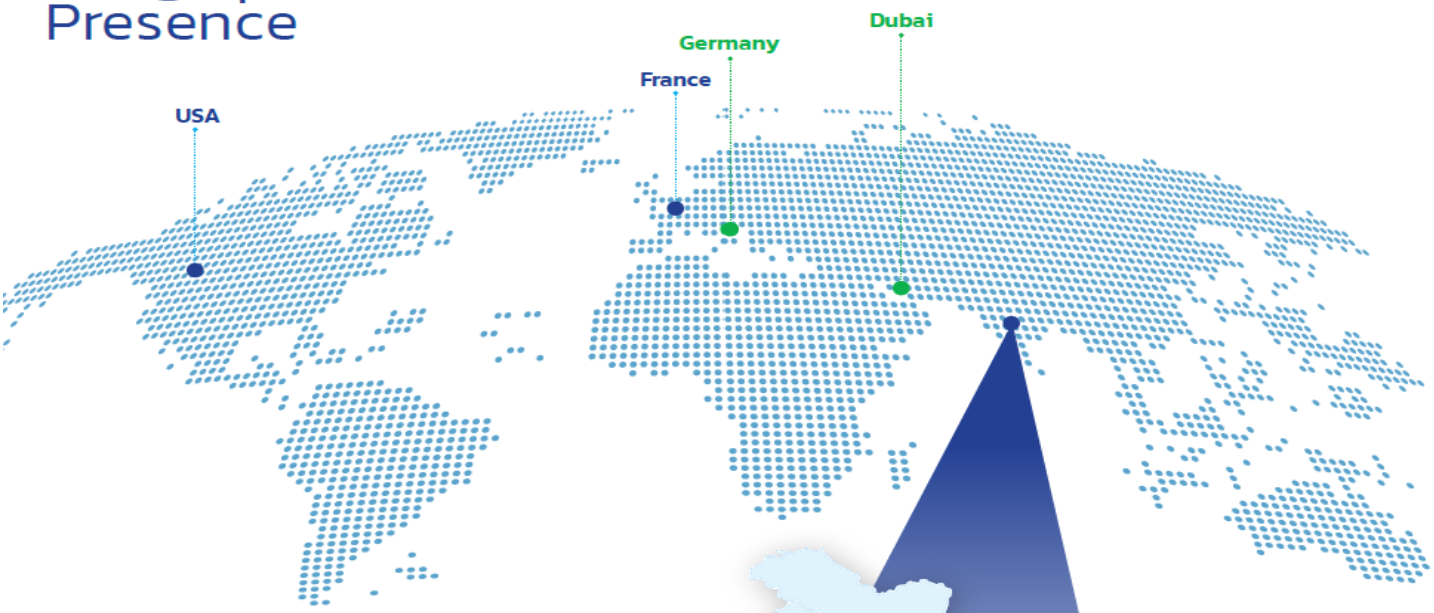
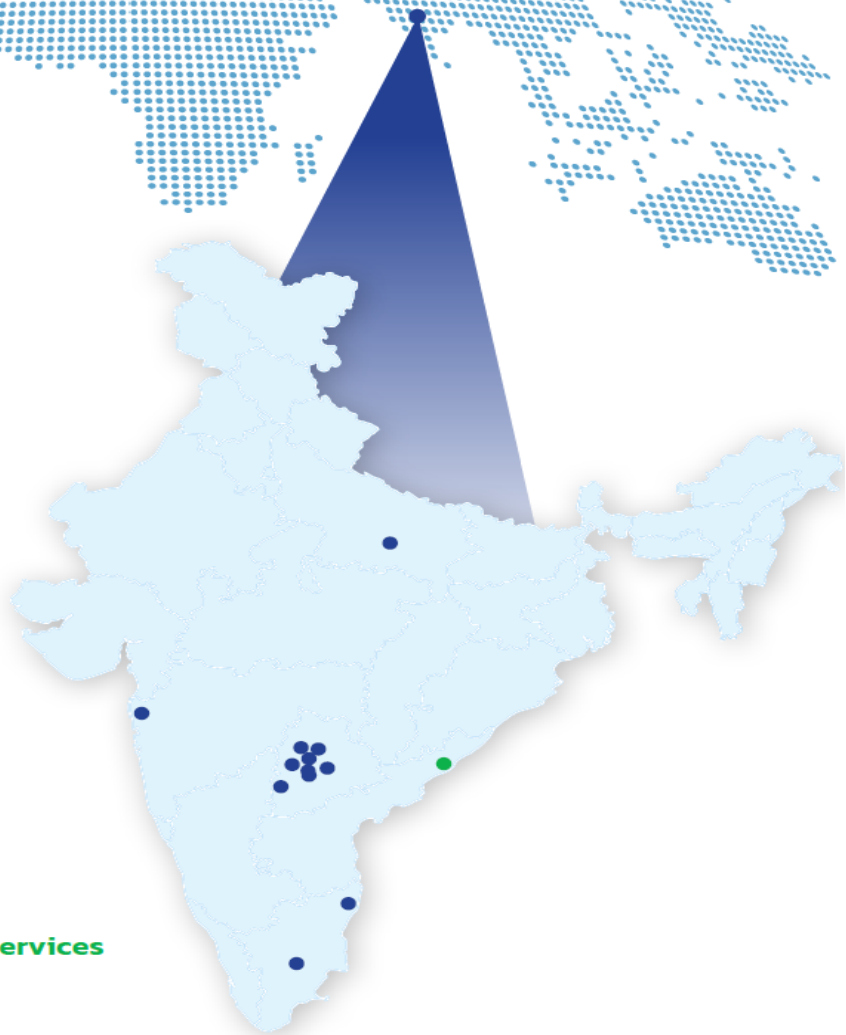
Geographical Presence





Manufacturing Plants

India

Telangana
Patancheru-1
Patancheru-2
Velchal
Isnapur
Sadashivpet-1
Sadashivpet-2,
Mallapur

Maharashtra
Tarapur

Tamil Nadu
Chennai
Trichy

Uttar Pradesh
Raebareli

USA
Tennessee

France
Villebret

Engineering Services

India
Visakhapatnam

Germany
Bad Homburg

UAE
Dubai

The company operates 13 manufacturing plants, 5 engineering offices, and 42 sales offices in India, USA, and Europe. It has an annual production capacity of more than **3,50,000 MTPA.**

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PIL's Quality Standards

Pennar Industries has qualified eight management- system standards that span general quality, environment, health & safety, welding, rail, automotive and aerospace requirements. Together they create an integrated compliance framework that supports Pennar's multi-vertical businesses, from precision tubes and hydraulics to pre-engineered buildings, rail coaches, automotive sub-assemblies and defense electronics, while assuring customers and regulators of consistent, audit-ready performance.

Certifications

ISO 9001: 2015
Quality Management System

ISO 14001: 2015
Environmental Management System

ISO 45001: 2018
Occupational Health & Safety Management System

ISO /TS 22163: 2017
Railway Business Management System

EN 15085-2: 2020
Railway Welding Quality Management System

ISO 3834-2: 2021
Welding Quality Management System

IATF 16949: 2016
Automotive Quality Management System

AS9100: 2016
Aerospace Quality Management System

PIL's Renewable Energy Adaption

Highlights – Renewable Energy (FY 2024–25)

4.97 million units
Renewable energy generated.

≈15%
Total energy consumption met through solar.

The Company has strengthened its renewable energy portfolio by steadily expanding solar generation across its facilities. By installing both utility-scale and rooftop solar systems, it has been able to harness renewable power and integrate it into its production processes. PIL is dedicated to enhancing energy efficiency in manufacturing operations through a strong commitment to sustainable practices. By incorporating advanced power sources into our energy management systems, they monitor and optimise energy usage in real time. These efforts not only reduce their carbon footprint but also lower operational costs.

PIL's Waste and Water Responsibility

Highlights – Waste & Water (FY 2024–25)

1,480 MT
waste recycled
(vs. 1,395 MT in FY24).

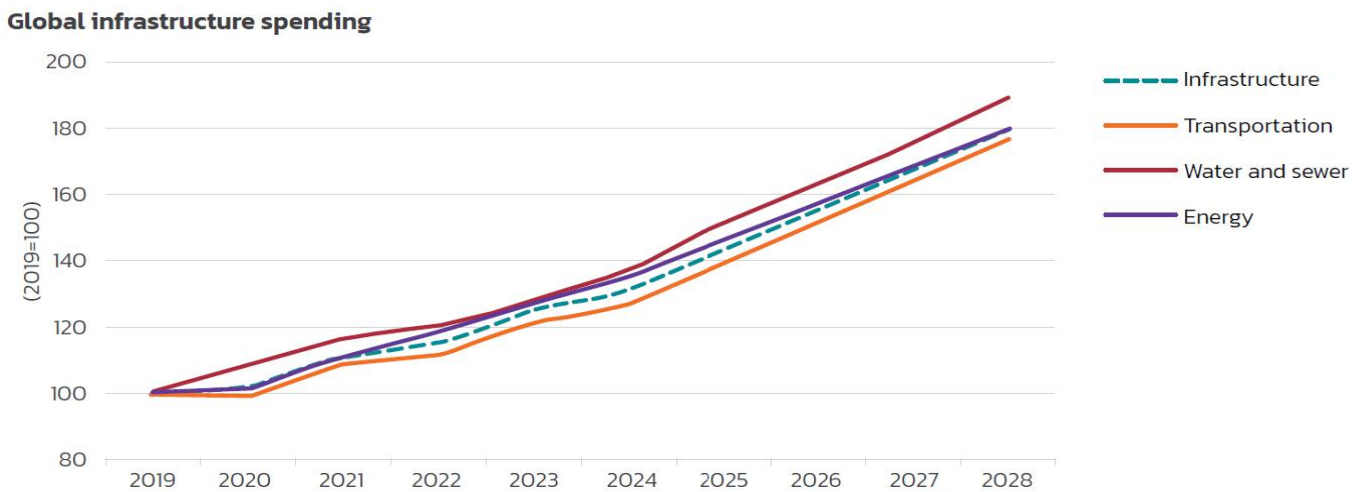
The Company ensures responsible management of all hazardous waste generated in-house by classifying it into categories such as iron sludge, MEE salts, coolant oil, e-waste, and biomedical waste. These materials are disposed of only through authorised vendors approved by local pollution control boards. Our sustainability practices also include a Zero Liquid Discharge (ZLD) system through MEE, which ensures no untreated effluent leaves the premises. Additionally, production processes are being optimised to minimise waste at the source. The transition to cloud- based IT infrastructure and leasing IT assets has further reduced e-waste and improved operational efficiency.

Global Infrastructure Overview:

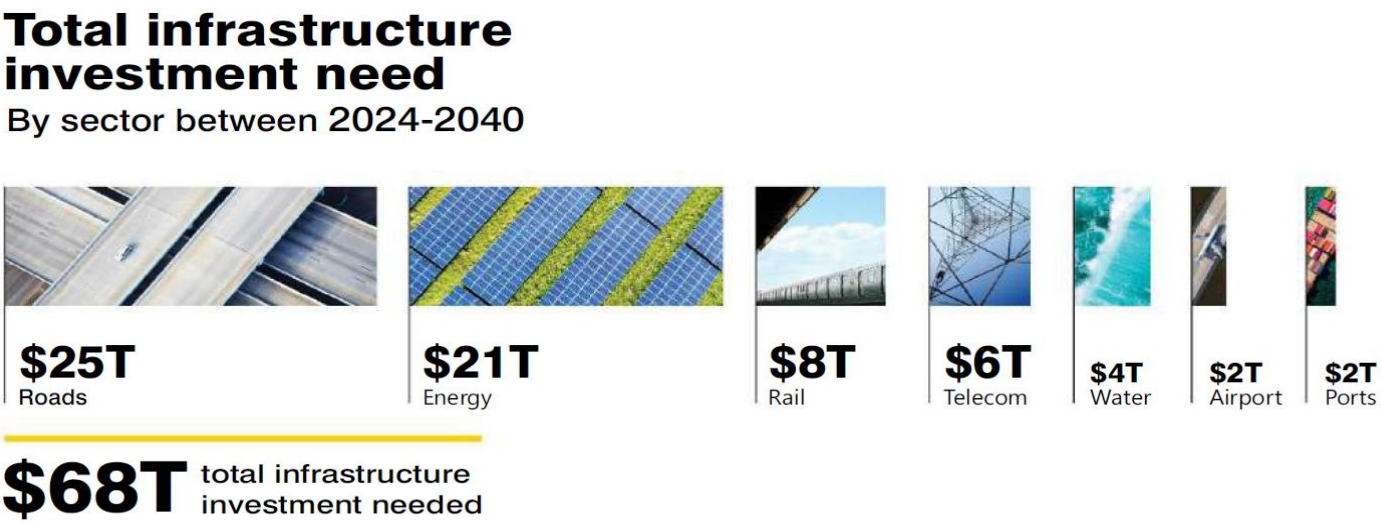
The global infrastructure sector demonstrated resilience and adaptability in FY2025, navigating economic uncertainties and geopolitical shifts. Global infrastructure funding will remain sound in FY2026.

With continued emphasis on sustainable development, digital transformation and climate resilience, the sector is poised for sustained growth in the coming years. Infrastructure construction spending is a key driver in the U.S., Europe, Australia and Canada, as well as in certain emerging markets such as India, Saudi Arabia and Singapore. Global infrastructure spending is expected to rise by about **9.4% in 2025**, outperforming other non-residential construction sectors.

Transportation and Water and Sewer sectors will experience outsized growth and expand by about **10% in FY2026**. The Infrastructure Investment and Jobs Act (IIJA) and autumn budget in the U.S., the Next Generation EU plan in the EU and AMP8 in the U.K. are the factors which are expected to drive growth.



Source: S&P Global Market Intelligence data insight as of October 2024.



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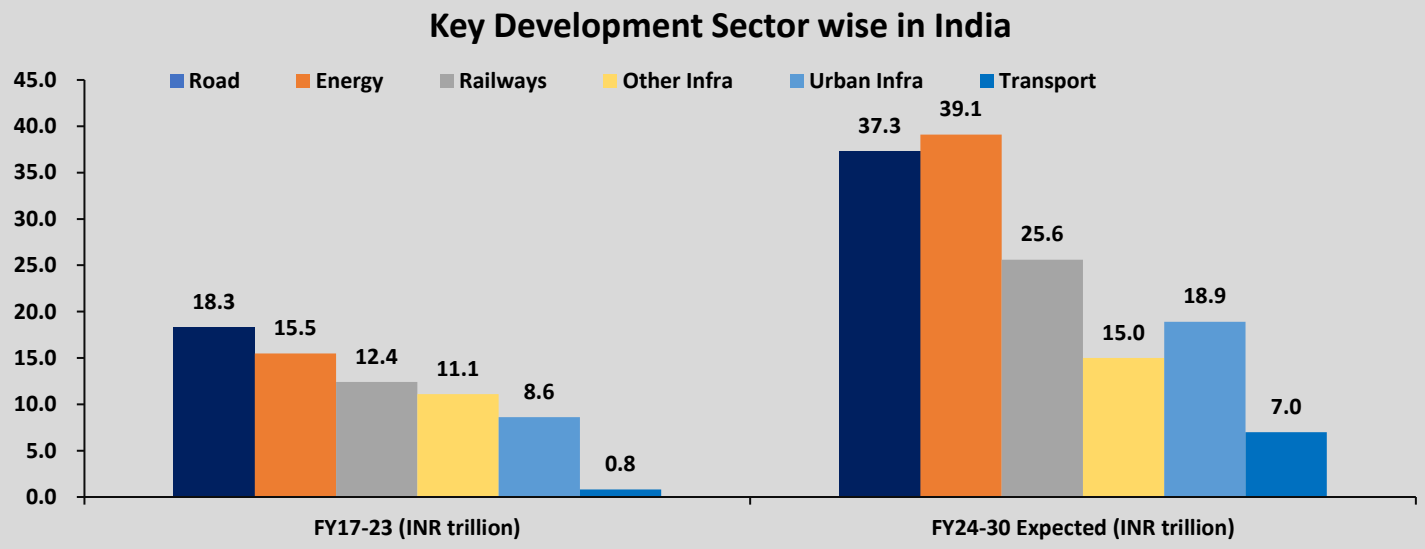
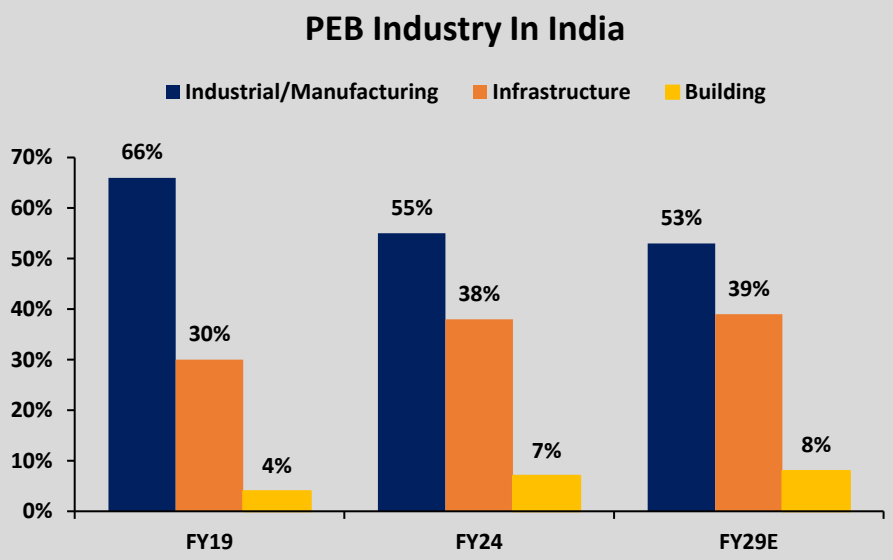
India Infrastructure Overview:

Key Development Sector wise in India:

In Budget 2025-26, core to the vision of Viksit Bharat for 2047, allocates INR 11.21 lakh cr for the infrastructure sector.



Size of the Market in India for PEB is set to triple in value by 2030-33



Buildings And Infrastructure – Pre-Engineered Buildings (PEB):
The buildings sector in India experienced steady growth in FY2025, driven by rapid industrialization, e-commerce warehousing, logistics hubs and infrastructure development initiatives. The increasing preference for Pre-Engineered Buildings (PEBs) due to faster construction timelines, cost- effectiveness and sustainability continues to reshape the sector.

India's PEB sector is witnessing rapid expansion, driven by rising demand for faster, cost-effective and sustainable construction solutions across industrial, commercial and infrastructure segments. According to industry research, the Indian PEB market, valued at around **USD 2 billion in 2024**, is projected to grow at a compounded annual growth rate of approximately **11% –12%** through the end of this decade, with forecasts placing the market size at **USD 3.9 billion by 2030 and USD 6.3 billion by 2033.**

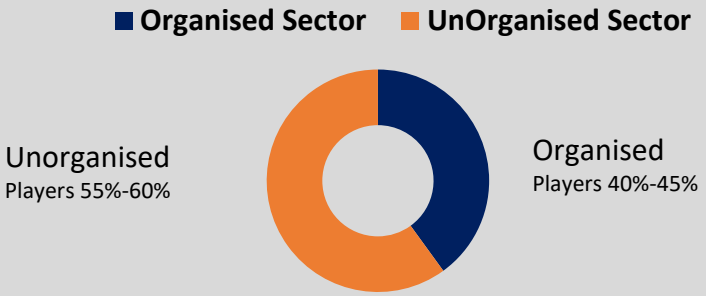
Key Growth Drivers

- **Industrial & warehousing expansion**: Driven by manufacturing, auto, logistics, e-commerce, and cold storage demand
- **Government support**: Schemes like Make in India, Smart Cities, Gati Shakti and industrial corridor projects accelerate adoption.
- **Cost and time efficiency**: Factory-fabricated steel components reduce labour, waste, and construction timelines.
- **Technology & sustainability**: Adoption of BIM/CAD, modular design, recyclable steel, and green features enhance appeal.
- **Large unorganised segment** provides massive scope for the growth of the organised sector through market share gains.

Advantages of Pre-Engineered Steel Buildings over Traditional construction

- Compared to technical difficulties and shortage of labour in traditional construction PEB's majority of the construction is done in closed environments reducing the need for on-site labour.
- PEB is more sustainable compared to traditional construction as it causes less disturbance to the construction sites surrounding. Also reduces the carbon footprint due to standardized processes and streamlined procedures.
- PEB gives faster construction timelines and cost optimization by allowing simultaneous preparation of the foundation at the construction site which helps accelerate project timelines and cost optimization.
- Low share of pre-engineered buildings in India combined with the increasing of awareness of benefits & cost savings in pre-engineered buildings over RCC, provides a substantial growth potential of pre-engineered buildings in India

Growing towards the organised sector



Organized Sector has an edge over the unorganized sector in terms of:

- Reliable track record
- Maximized supply chain capabilities
- Quality engineering services and products

Ventura Business Quality Score

Key Criteria	Score	Risk	Comments
Management & Leadership			
Management Quality	8	Low	Guided by a leadership team with substantial industry experience and has demonstrated solid financial performance and a diverse client base.
Promoters Holding Pledge	7	Medium	Promoter holding in PIL is 39.67% and there is 2.8% pledge against it.
Board of Directors Profile	8	Low	The average experience of directors is 15 years with significant experience in their respective sectors and expert areas
Industry Consideration			
Industry Growth	7	Medium	Both verticals, Customized Engineering Products and Diversified Engineering Products are going to show single digit growth.
Regulatory Environment or Risk	7	Medium	Demonstrates a proactive approach to managing regulatory compliance and associated risks through robust governance, environmental stewardship, and strategic diversification.
Entry Barriers / Competition	9	Low	Pennar Industries faces significant competition and industry challenges, its strategic initiatives in diversification, global expansion, and innovation aim to mitigate these risks and enhance its competitive edge.
Business Prospects			
New Business / Client Potential	7	Medium	Establishment of new manufacturing facilities, and international market expansion, are designed to enhance its market position and capitalize on emerging opportunities..
Business Diversification	8	Low	Strategic diversification into high-growth sectors, coupled with global expansion and a reassessment of legacy businesses through joint ventures, positions the company for sustained growth and profitability.
Market Share Potential	7	Low	With its new ventures and acquisitions, Pennar is poised to seize significant opportunities, both with existing customers and by attracting new ones, domestically and globally.
Margin Expansion Potential	7	Medium	PIL's EBITDA margin is set to rise from 9.6% to 10.3% by FY28, due to new acquisitions and new venture domestically and globally.
Earnings Growth	7	Medium	Moderate revenue growth outlook along with new acquisitions and new joint venture ensures significant earnings growth in future.
Valuation and Risk			
Balance Sheet Strength	8	Low	Balance sheet reflects a strategic balance between leveraging debt for expansion and maintaining sufficient liquidity.
Debt Profile	8	Low	PIL's debt levels are manageable, with strong liquidity and a clear capacity to meet future obligations.
FCF Generation	8	Low	PIL's ability to generate free cash flow positions it well for debt servicing, reinvestment, and potential shareholder returns
Dividend Policy	8	Low	PIL is retaining earnings at 0% dividend payout to fund high-growth opportunities, prioritizing expansion over shareholder payouts.
Total Score	**114**	**Low**	**The overall risk profile of the company is good, and we consider it as a LOW-risk company for investments.**
Ventura Score (%)	**76**		

Source: Company Reports & Ventura Research

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Management Team

Key Person	Designation	Details
Mr.R V S Ramakrishna	Chairman Non-Exceutive Independent Director	He is Graduate in Engineering in Chemical Technology from Birla Institute of Technology and Science, Pilani. He started his career with Coromandel Fertilisers Limited, Visakhapatnam as a Graduate Engineer Trainee. He was awarded the PGDM from Indian Institute of Management, Ahmedabad in 1982 and then joined ITW Signode India Limited as Area Sales Executive based at Jamshedpur.
Mr. Aditya Rao	Vice-Chairman	He has founded two of the new subsidiaries for Pennar: Pennar Engineered Building Systems and Pennar Enviro. He was educated at Cornell University in Physics and Engineering Management.
Mr. K Lavanya Kumar Rao	Executive Director	He has more than three decades of experience in the areas of law, construction, corporate affairs and liaising with statutory authorities. He graduated in Law from Kakatiya University. Mr. Kumar joined Pennar Group in 1987.

Source: Company Reports

Key Risks & Concerns

- **Political Risks**: Geopolitical issues across regions may impact operations. Pennar manages risks by assessing them thoroughly before bidding and securing appropriate funding mechanisms.
- **Competition Risks**: The company faces intense competition from both local and international players, which it addresses through its quality commitment, brand reputation, and technical expertise.
- **Operational Risks**: Operational risks are mitigated by carefully selecting contractors, vendors, and employees and maintaining stringent internal processes for approvals and project management.
- **Commodity Price Risks**: Fluctuating raw material prices like steel and aluminum are mitigated through price escalation clauses and commodity forward contracts.
- **Execution Risks**: Addressed by project monitoring and technological use for terrain assessments and proactive client engagement.
- **Interest Rate Fluctuation Risks**: Pennar manages this through regular reviews of borrowing levels to ensure liquidity and cost control.
- **Foreign Currency Risk**: Mitigated by monitoring currency fluctuations and utilizing hard currencies in international tenders.
- **Environmental, Health, and Safety (EHS) Risks**: The company has comprehensive EHS policies to ensure employee and environmental safety.

These risks are addressed through a structured risk management system that includes regular monitoring, compliance, and internal controls.

FY 25 Annual Report Analysis

We analyzed the FY25 annual report of PIL, and our key observations are as follows:

1. **Financial Performance**

   Pennar Industries Limited delivered a strong performance in FY2025, with consolidated revenue of **INR 3,226 cr** and a profit after tax (PAT) of **INR 119 cr.** reflecting resilience despite raw material volatility and supply-chain disruptions.

2. **Strategic Developments**

   Pennar is focusing on global expansion and transitioning from a steel-based company to an engineering powerhouse. Key initiatives include:

- Raebareli Plant: A new **16-acre PEB** manufacturing facility with **36,000 MT** capacity to serve Northern and Eastern India.
- Pennar-Zetwerk Joint Venture: A **INR18 cr.** investment into solar panel manufacturing under ZAP91 Solar India, aligning with decarbonization goals.
- Acquisitions & Global Expansion: Acquired Ascent Buildings LLC, enhancing its presence in the U.S., and expanded operations through Pennar Global Inc.
- Focus on High-Margin Verticals: Emphasis on PEB, Body-in-White (BIW), Engineering Services, Hydraulics, and Boilers.

3. **Capital and Liquidity**

   Pennar focuses on optimizing its capital structure and maintaining strong liquidity:

- Net Worth: Increased to INR 999.60 cr.
- Borrowings: INR 775.12 crores, with long-term borrowings at INR 20,538 lakhs (standalone).
- Debt-Equity Ratio: Improved to 0.78 from 0.84 in FY2024.
- Cash Flow: INR 255.98 crores from operating activities, with INR 104.97 crores used in investments.
- Credit Rating: CARE reaffirmed the 'CARE A' Stable rating for long-term bank facilities.
- Unused Financing Facilities: INR 26,302 lakhs at year-end.

4. **Governance and Compliance**

   Pennar maintains strong corporate governance and compliance standards:

- Board Structure: 8 Directors, including one woman Director.
- Committees: 6 committees, including Audit, Risk Management, and Stakeholders Relationship Committees.
- Internal Controls: Strong internal controls to ensure adherence to systems and procedures.
- Compliance: Adheres to the Companies Act, 2013, SEBI regulations, and has a Whistle Blower Policy.
- Auditors: Statutory and Internal Auditors ensure financial integrity.

5. **Human Capital and CSR**

- Pennar invests in its workforce and corporate social responsibility (CSR):
- Employee Strength: **2,400** employees in FY25, with 92% male and 8% female representation.
- Training & Development: 3 lakh manhours devoted to training, with a focus on technical, behavioral, and safety programs.
- CSR Expenditure: Spent **INR19.00 lakhs** on CSR activities, including healthcare, education, and rural development.
- Environmental Responsibility: Pennar uses solar energy for **15%** of its energy needs and has a Zero Liquid Discharge system for waste management.

  This comprehensive approach ensures Pennar's sustainable growth, operational efficiency, and strong governance, positioning the company well for future expansion and profitability.

Auditor's qualifications and significant notes to accounts

In the auditor's opinion, the consolidated financial results of Pennar industries. for the year ended 31 March 2025 are true and fair, comply with Ind AS and SEBI Listing Regulations, and are based on duly audited financials of its subsidiaries.

Contingent Liability Description	Amount (INR Lakhs)
The Central Excise Act, 1994	308
AP Tax on Entry of Goods into local areas Act, 2001	239
Telangana State Value Added Tax Act, 2005 (VAT)	3895
Central Sales Tax Act, 1956	1989
Goods and Service Tax Act 2017	4902
Employees provident Fund (2023-24)	14
Income Tax Act, 1961	976

PIL's Quarterly & Annual Performance

Fig in INR Cr (unless specified)	FY23	FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	FY25	Q1FY26	FY26E	FY27E	FY28E
Revenue from operations	2,894.6	3,130.6	733.5	747.6	839.7	905.8	3,226.6	846.0	3,522.5	3,784.8	4,065.7
YoY Growth (%)	*27.8*	*8.2*	*(2.1)*	*(8.2)*	*12.8*	*10.1*	*3.1*	*15.3*	*9.2*	*7.4*	*7.4*
Raw Material Cost	1,801.4	1,937.7	441.6	434.8	516.9	522.6	1,915.9	486.0	2,078.3	2,233.1	2,398.8
RM Cost to Sales (%)	*62.2*	*61.9*	*60.2*	*58.2*	*61.6*	*57.7*	*59.4*	*57.4*	*59.0*	*59.0*	*59.0*
Employee Cost	310.3	310.0	76.0	81.0	90.0	89.6	336.5	93.0	372.0	399.7	429.4
Employee Cost to Sales (%)	*10.7*	*9.9*	*10.4*	*10.8*	*10.7*	*9.9*	*10.4*	*11.0*	*10.6*	*10.6*	*10.6*
Other Expenses	561.7	609.9	144.3	156.5	151.3	201.9	663.0	181.0	724.2	756.9	818.3
Other Expenses to Sales (%)	*19.4*	*19.5*	*19.7*	*20.9*	*18.0*	*22.3*	*20.5*	*21.4*	*20.6*	*20.0*	*20.1*
EBITDA	221.2	273.0	71.6	75.3	81.6	91.7	311.2	86.0	348.0	395.2	419.2
EBITDA Margin (%)	*7.6*	*8.7*	*9.8*	*10.1*	*9.7*	*10.1*	*9.6*	*10.2*	*9.9*	*10.4*	*10.3*
PAT	75.4	98.6	26.4	26.9	30.5	36.3	120.2	31.9	133.4	155.4	163.1
PAT Margin (%)	*2.6*	*3.1*	*3.6*	*3.6*	*3.6*	*4.0*	*3.7*	*3.8*	*3.8*	*4.1*	*4.0*
Net Profit	75.4	98.3	26.4	26.9	30.5	35.6	119.4	31.9	132.6	154.6	162.2
Net Margin (%)	*2.6*	*3.1*	*3.6*	*3.6*	*3.6*	*3.9*	*3.7*	*3.8*	*3.8*	*4.1*	*4.0*
Adjusted EPS	5.6	7.3	2.0	2.0	2.3	2.6	8.9	2.4	9.8	11.5	12.0
P/E (X)	*42.1*	*32.3*					*26.6*		*23.9*	*20.5*	*19.6*
Adjusted BVPS	57.7	65.0					74.0		83.8	95.3	107.3
P/BV (X)	*4.1*	*3.6*					*3.2*		*2.8*	*2.5*	*2.2*
Enterprise Value	3,594.1	3,745.3					3,756.1		3,757.2	3,748.4	3,677.2
EV/EBITDA (X)	*16.2*	*13.7*					*12.1*		*10.8*	*9.5*	*8.8*
Ev/Sales							1.2		1.1	1.0	0.9
Net Worth	778.0	876.5					998.5		1,131.1	1,285.7	1,447.9
Return on Equity (%)	*9.7*	*11.2*					*12.0*		*11.7*	*12.0*	*11.2*
Capital Employed	1,399.2	1,610.5					1,773.6		1,939.1	2,148.7	2,322.9
Return on Capital Employed (%)	*8.6*	*9.6*					*10.3*		*10.5*	*10.9*	*10.7*
Invested Capital	1,199.7	1,449.4					1,582.1		1,715.9	1,861.7	1,952.6
Return on Invested Capital (%)	*13.0*	*14.2*					*15.3*		*15.7*	*16.7*	*16.8*
Cash Flow from Operations	244.1	224.7					256.0		283.5	329.8	342.1
Cash Flow from Investing	(28.0)	(256.8)					(105.2)		(133.6)	(179.7)	(120.6)
Cash Flow from Financing	(112.6)	(22.3)					(100.0)		(97.7)	(88.5)	(140.7)
Net Cash Flow	103.6	(54.3)					50.8		52.2	61.6	80.8
Free Cash Flow	242.9	64.4					220.4		246.7	262.4	341.1
FCF to Revenue (%)	*8.4*	*2.1*					*6.8*		*7.0*	*6.9*	*8.4*
FCF to EBITDA (%)	*109.8*	*23.6*					*70.8*		*70.9*	*66.4*	*81.4*
FCF to Net Profit (%)	*322.1*	*65.5*					*184.5*		*186.0*	*169.8*	*210.3*
FCF to Net Worth (%)	*31.2*	*7.4*					*22.1*		*21.8*	*20.4*	*23.6*
Total Debt	621	734					775		808	863	875
Net Debt	422	573					584		585	576	505
Net Debt to Equity (X)	*0.5*	*0.7*					*0.6*		*0.5*	*0.4*	*0.3*
Net Debt to EBITDA (X)	*1.9*	*2.1*					*1.9*		*1.7*	*1.5*	*1.2*
Interest Coverage Ratio (X)	*1.7*	*1.8*					*2.0*		*2.1*	*2.2*	*2.2*
Fundamental scores											
Altman Z Score	1.8	1.7					1.7		1.7	1.7	1.7
Piotroski F-score	6.0	5.0					7.0		8.0	6.0	5.0
Beneish M-score	(2.6)	(2.1)					(2.2)		(2.3)	(2.3)	(2.3)

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PIL's consolidated financials & projections

Fig in INR Cr (unless specified)	FY24	FY25	FY26E	FY27E	FY28E
Income Statement					
Revenue	3,130.6	3,226.6	3,522.5	3,784.8	4,065.7
YoY Growth (%)	*8.2*	*3.1*	*9.2*	*7.4*	*7.4*
Raw Material Cost	1,937.7	1,915.9	2,078.3	2,233.1	2,398.8
RM Cost to Sales (%)	*61.9*	*59.4*	*59.0*	*59.0*	*59.0*
Employee Cost	310.0	336.5	372.0	399.7	429.4
Employee Cost to Sales (%)	*9.9*	*10.4*	*10.6*	*10.6*	*10.6*
Other Expenses	609.9	663.0	724.2	756.9	818.3
Other Exp to Sales (%)	*19.5*	*20.5*	*20.6*	*20.0*	*20.1*
EBITDA	273.0	311.2	348.0	395.2	419.2
Margin (%)	*8.7*	*9.6*	*9.9*	*10.4*	*10.3*
YoY Growth (%)	*23.4*	*14.0*	*11.8*	*13.5*	*6.1*
Depreciation & Amortization	66.5	68.9	79.3	85.0	90.8
EBIT	206.5	242.3	268.8	310.2	328.4
Margin (%)	*6.6*	*7.5*	*7.6*	*8.2*	*8.1*
YoY Growth (%)	*32.2*	*17.4*	*10.9*	*15.4*	*5.9*
Other Income	40.3	36.6	38.5	39.2	40.3
Interest	115.1	119.8	130.6	143.5	152.7
Fin Charges Coverage (X)	1.8	50.0	2.1	2.2	2.2
Exceptional Item	0.0	0.0	0.0	0.0	0.0
PBT	131.7	159.1	176.7	205.9	216.1
Margin (%)	*4.2*	*4.9*	*5.0*	*5.4*	*5.3*
YoY Growth (%)	*33.8*	*20.8*	*11.1*	*16.5*	*4.9*
Tax Expense	33.1	38.9	43.3	50.4	52.9
Tax Rate (%)	*25.1*	*24.5*	*24.5*	*24.5*	*24.5*
PAT	98.6	120.2	133.4	155.4	163.1
Margin (%)	*3.1*	*3.7*	*3.8*	*4.1*	*4.0*
YoY Growth (%)	*30.7*	*21.9*	*11.0*	*16.5*	*4.9*
Min Int/Sh of Assoc	(0.3)	(0.7)	(0.8)	(0.9)	(0.9)
Net Profit	98.3	119.4	132.6	154.6	162.2
Margin (%)	*3.1*	*3.7*	*3.8*	*4.1*	*4.0*
YoY Growth (%)	*30.4*	*21.5*	*11.0*	*16.6*	*4.9*
Balance Sheet					
Share Capital	67.5	67.5	67.5	67.5	67.5
Total Reserves	810.0	932.1	1,064.8	1,219.3	1,381.5
Shareholders Fund	877.5	999.6	1,132.2	1,286.8	1,449.0
Long Term Borrowings	134.8	205.9	239.0	316.0	350.0
Deferred Tax Assets / Liabilities	2.6	16.0	16.0	16.0	16.0
Other Long Term Liabilities	38.2	22.3	23.4	24.6	25.8
Long Term Trade Payables	0.0	0.0	0.0	0.0	0.0
Long Term Provisions	14.5	31.6	33.2	34.9	36.6
Total Liabilities	1,067.5	1,275.4	1,443.8	1,678.2	1,877.4
Net Block	697.2	840.9	897.1	987.8	1,013.3
Capital Work in Progress	217.6	53.1	70.0	70.0	70.0
Intangible assets under development	0.0	0.0	0.0	0.0	0.0
Non Current Investments	2.9	34.6	36.4	38.2	40.1
Long Term Loans & Advances	86.0	0.0	0.0	0.0	0.0
Other Non Current Assets	0.0	118.5	124.5	130.7	137.2
Net Current Assets	63.9	228.1	315.9	451.6	616.8
Total Assets	1,067.5	1,275.4	1,443.8	1,678.2	1,877.4

Fig in INR Cr (unless specified)	FY24	FY25	FY26E	FY27E	FY28E
Per share data & Yields					
Adjusted EPS (INR)	7.3	8.9	9.8	11.5	12.0
Adjusted Cash EPS (INR)	12.2	14.0	15.7	17.8	18.8
Adjusted BVPS (INR)	65.0	74.1	83.9	95.4	107.4
Adjusted CFO per share (INR)	16.7	19.0	21.0	24.4	25.4
CFO Yield (%)	7.1	8.1	8.9	10.4	10.8
Adjusted FCF per share (INR)	4.8	16.3	18.3	19.4	25.3
FCF Yield (%)	2.0	6.9	7.8	8.3	10.8
Solvency Ratio (X)					
Total Debt to Equity	0.8	0.8	0.7	0.7	0.6
Net Debt to Equity	0.7	0.6	0.5	0.4	0.3
Net Debt to EBITDA	2.1	1.9	1.7	1.5	1.2
Return Ratios (%)					
Return on Equity	11.2	12.0	11.7	12.0	11.2
Return on Capital Employed	9.6	10.3	10.5	10.9	10.7
Return on Invested Capital	14.2	15.3	15.7	16.7	16.8
Working Capital Ratios					
Payable Days (Nos)	92	99	99	99	99
Inventory Days (Nos)	96	106	106	106	106
Receivable Days (Nos)	58	66	66	66	66
Net Working Capital Days (Nos)	62	72	72	72	72
Net Working Capital to Sales (%)	16.9	19.8	19.8	19.8	19.8
Valuation (X)					
P/E	32.3	26.6	23.9	20.5	19.6
P/BV	3.6	3.2	2.8	2.5	2.2
EV/EBITDA	13.7	12.1	10.8	9.5	8.8
EV/Sales	1.2	1.2	1.1	1.0	0.9
Cash Flow Statement					
PBT	131.7	159.1	176.7	205.9	216.1
Adjustments	92.8	248.6	208.6	226.3	234.6
Change in Working Capital	33.3	(59.3)	(58.5)	(51.9)	(55.6)
Less: Tax Paid	(33.1)	(21.0)	(43.3)	(50.4)	(52.9)
Cash Flow from Operations	224.7	256.0	283.5	329.8	342.1
Net Capital Expenditure	(246.5)	(126.2)	(135.4)	(175.7)	(116.3)
Change in Investments	(10.3)	21.0	1.9	(4.0)	(4.3)
Cash Flow from Investing	(256.8)	(105.2)	(133.6)	(179.7)	(120.6)
Change in Borrowings	92.8	19.8	32.9	55.0	12.0
Less: Finance Cost	(115.1)	(119.8)	(130.6)	(143.5)	(152.7)
Proceeds from Equity	0.0	0.0	0.0	0.0	0.0
Buyback of Shares	0.0	0.0	0.0	0.0	0.0
Dividend Paid	0.0	0.0	0.0	0.0	0.0
Cash flow from Financing	(22.3)	(100.0)	(97.7)	(88.5)	(140.7)
Net Cash Flow	(54.3)	50.9	52.2	61.6	80.8
Forex Effect	1.1	0.0	0.0	0.0	0.0
Opening Balance of Cash	143.0	89.8	141.0	193.2	254.8
Closing Balance of Cash	89.8	141.0	193.2	254.8	335.6

Source: Company Reports & Ventura Research

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We rate stocks on the 2 years absolute return basis.

Rating	Criteria	Definition
BUY	>= 20%	Target price is equal to or more than 20% of CMP
HOLD	>= 0% to < 20%	Target price is more than CMP but less than 20% of CMP
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NOT RATED	No recommendation	No target

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